MEMORANDUM

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To: Katharine “Kate” Drummond, Partner
From: Marcus Webb, Associate
Copy: David Forsythe, Senior Vice President, Pinnacle Savings Bank, N.A. (Sections 1, 3 and 8 only)
Date: February 3, 2025
Client/Matter: Pinnacle Savings Bank, N.A. / 1041-0088

Re: Pinnacle Savings Bank, N.A. / Harborview Capital Partners LLC — The Piedmont at Brightleaf — $47,500,000 Construction-to-Mini-Permanent Loan (Bank Loan No. CRE-2025-0342): Cover Memorandum to the First Draft of the Loan Agreement; Material Issues and Inconsistencies Across the Source Documents

This memorandum accompanies the first draft of the Loan Agreement (the **“Draft”**) for the captioned transaction. It records (a) the source documents reviewed, (b) the material issues and inconsistencies we identified across those documents, (c) our recommendation for resolving each, and (d) where each issue is addressed in the Draft. Section 5 is organized by issue number; the Draft cross-refers to those numbers throughout, and each cross-reference is keyed to the numbering used here.

1. Purpose, Scope and Method

1.1 Purpose. The Bank’s Credit Memorandum dated January 22, 2025 recommends approval of a $47,500,000 construction-to-mini-permanent loan to Harborview Capital Partners LLC, subject to conditions of approval and to resolution of enumerated risk factors. Our instruction is to convert the executed Term Sheet dated January 10, 2025 and the approved credit into definitive documentation, and to report on the material issues and inconsistencies in the record before the Draft is circulated. This memorandum does that report.

1.2 Method. We read each source document in full. We then re-performed every material computation in the record rather than accepting the stated result: the sources and uses, the loan-to-cost, loan-to-value and debt service coverage ratios, the interest reserve projection, the draw schedule footings, the stabilization analysis, the guaranty percentages, the acreage and frontage figures, and each date interval. Where a document stated a result that we could not reproduce, we have said so and shown our arithmetic. Every proposition in Section 5 is tied to a specific document and section. Where the record is silent we have said so rather than assumed a fact.

1.3 What this memorandum is not. We have not re-underwritten the credit, and we express no view on whether the Bank should make the Loan. Our commentary on credit metrics is limited to testing internal consistency and to identifying where

a document's stated conclusion does not follow from its own figures — because those are matters that will be relied on in documentation and, potentially, in a bankruptcy or enforcement proceeding. We have not reviewed the full Phase II Environmental Site Assessment, the NFA letter itself, the GMP contract, the architect's agreement, either party's financial statements, or the operating agreement in unexcerpted form; none is in the record furnished to us (see Issue 44).

1.4 Convention. "Term Sheet" means the executed term sheet dated January 10, 2025. "Credit Memorandum" means the Senior Loan Committee Credit Memorandum dated January 22, 2025. "Appraisal" means the executive summary of the self-contained appraisal report by Ridgeline Appraisal Services Inc. dated November 15, 2024 (File RAS-2024-1147). "Phase I ESA" means the excerpted Phase I Environmental Site Assessment by Sentinel Environmental Consulting LLC dated October 28, 2024 (Project SEC-2024-1147). "Title Commitment" means Commitment No. NC-2024-88712 issued by Aldersgate Title & Escrow Inc., effective December 5, 2024. "Organizational Chart" means the borrower organizational chart and operating agreement excerpts prepared by Calloway & Strauss PLLC dated January 2025. "Draw Schedule" means the Borrower-prepared construction and draw schedule dated January 8, 2025. References to "$" are: all amounts are in United States dollars.

2. Documents Reviewed and Status

#	Document	Date	Prepared by	Status / Gaps
1	Executed Term Sheet (non-binding except §§ 22–23)	Jan. 10, 2025	Pinnacle Savings Bank, N.A.	Executed by both parties. Contains internal inconsistencies (Issue 42)
2	Senior Loan Committee Credit Memorandum	Jan. 22, 2025	D. Forsythe, SVP	Approved subject to conditions. Several conclusions not reproducible (Issues 1–3, 9, 31)
3	Appraisal executive summary (187-page report referenced, not furnished)	Nov. 15, 2024	Ridgeline Appraisal Services Inc.; L. Haverford, MAI	Executive summary only; full report not in record. Contains two internal inconsistencies (Issues 18, 22, 26)
4	Preliminary Title Commitment No. NC-2024-88712	Dec. 5, 2024	Aldersgate Title & Escrow Inc.; P. Langley	Expires June 5, 2025. No evidence of the NFA deed notice; no evidence of ARC approval; Prior Deed of Trust unreleased
5	Phase I ESA (excerpted)	Oct. 28, 2024	Sentinel Environmental Consulting LLC; Dr. J. Whitfield, P.E.	Excerpts only. NFA letter and Phase II report referenced but not furnished. AAI shelf life to April 26, 2025
6	Borrower organizational chart and operating agreement excerpts	Jan. 2025	Calloway & Strauss PLLC	Excerpts only; complete operating agreement not in record. Certification undated and unsigned
7	Construction budget and draw schedule (3 worksheets)	Jan. 8, 2025	Harborview Capital Partners LLC	Does not foot in two places (Issues 11, 12); interest reserve built on a stale rate assumption (Issue 10)

#	Document	Date	Prepared by	Status / Gaps
8	Phase II ESA (Sentinel Project SEC-2024-1089)	Aug. 30, 2024	Sentinel	**Not in record.** Referenced by the Phase I ESA and the NCDEQ file
9	NCDEQ No Further Action letter (Site ID IHSB-24-1203)	Sept. 30, 2024	NCDEQ IHSB	**Not in record.** Terms taken from the Phase I ESA summary
10	Recorded Deed Notice / declaration of land use restrictions	Due Nov. 29, 2024	Borrower	**Not in record; not shown on the Title Commitment** (Issue 23)
11	Intercreditor agreement with Brightleaf Mezzanine Capital LLC	—	Negotiated, not executed	**Not in record.** A hard closing condition
12	GMP construction contract; architect’s agreement	2024	Graystone Construction Group Inc.; Meridian Design Collective PC	Referenced as executed; **not in record**
13	Amended and restated operating agreement (complete)	Mar. 14, 2019, as amended through Dec. 1, 2024	Harborview Capital Partners LLC	Excerpts only (Issues 37, 38)
14	ALTA/NSPS survey	—	Not yet obtained	**Outstanding.** Required to close and to cure the legal description defect (Issue 17)
15	Phase I and Phase II reliance letters for the Bank	Oct. 28, 2024 (Phase I only)	Sentinel	Phase I reliance letter referenced as Appendix G; Phase II reliance letter **not addressed** (Issue 27)
16	Borrower and guarantor financial statements; tax returns	Dec. 15 and 18, 2024 (PFS)	Borrower / Guarantors	Summaries only; Borrower statements not furnished; tax returns not furnished (Issues 31, 44)
17	Appraisal, zoning, flood, environmental and title diligence	Various	Various	Several items pending; see Section 8

3. Executive Summary

The Loan can be documented, but the record as furnished does not support several of the conclusions the Credit Memorandum relies on, and three of those conclusions go to the core of the credit rather than to documentation niceties. They are:

(a) The Project has no borrower equity, and the Loan is oversized against the Bank's own limits. The sources and uses allocates one hundred percent of the $56,700,000 of Total Project Costs to the $47,500,000 senior loan and the $9,200,000 mezzanine loan, with Borrower cash equity stated at **$0** (Draw Schedule, "Summary" and "Detailed Budget" worksheets; Credit Memorandum §5.1 and Appendix C). The $8,200,000 land cost is shown in the Detailed Budget as funded by **Mezzanine Loan proceeds**, not by member equity. That is irreconcilable with the Term Sheet (§5.2: land "funded from prior capital contributions by the Borrower's members"), the Credit Memorandum (§2.2: "capital calls from all three members"), and the Organizational Chart (§1.3: contributed by Ms. Vasquez-Torres "from her personal resources"). On the face of the sources and uses, the Mezzanine Loan is a land take-out: at closing it repays whoever funded the land. If that is right, then the "land equity" that the Credit Memorandum credits at $8,200,000 in its equity analysis (Credit Memorandum § 5.3, § 9.1: $2,140,000 cash + $8,200,000 land = $10,340,000, or 18.2%) is the same $8,200,000 that the Credit Memorandum's own sources table has already counted as mezzanine debt. It is counted twice. True equity is $0, or $2,140,000 if the equity escrow is funded with genuinely independent cash. See Issue 5.

(b) The Loan exceeds both of the Bank's leverage limits as set in the executed Term Sheet, and the prescribed cure does not work. Loan-to-cost is 83.77% against an 80% maximum (a $2,140,000 excess). As-completed loan-to-value is 65.25% against the 65% maximum in Term Sheet §§ 4 and 6.2 (a $180,000 excess) — a breach the Credit Memorandum does not report, because it measures against a 70% policy limit that contradicts the executed Term Sheet. The Credit Memorandum's cure — deposit $2,140,000 of equity — is presented as an alternative to reducing the Loan Amount, but on its own it cannot work: because every dollar of Total Project Costs is already allocated to the two loans, adding $2,140,000 of equity to the sources column while leaving the Loan at $47,500,000 produces $58,840,000 of sources against $56,700,000 of uses. The equity must **displace** Loan proceeds. The two "alternatives" in Credit Memorandum §5.1 and §10.1.2 are in fact two halves of a single fix: reduce the Loan Amount to $45,360,000 **and** fund $2,140,000 of equity. See Issues 1, 2 and 3.

(c) The interest reserve is not adequate, and the record gives three different answers to how inadequate. The Draw Schedule projects a **surplus** of $221,325 on a Daily Simple SOFR assumption of 3.50%; the same worksheet's own sensitivity table at 4.35% projects a **shortfall** of $(365,830); and the Credit Memorandum projects a shortfall of $(565,000). All three purport to measure the same thing. The difference is methodology: the Draw Schedule's month-by-month accrual is arithmetically sound but is built on a rate assumption 85 basis points

below the rate used everywhere else in the record, and the Credit Memorandum's average-balance shortcut overstates total interest by roughly $200,000 at the same rate. On the Draw Schedule's own draw pattern at 4.35% Daily Simple SOFR, total construction-period interest is approximately $5,211,500 and the shortfall is approximately $361,500. The reserve is short, and the Senior Loan Committee approved it as "adequate." See Issues 9 and 10.

Beyond those three, the record contains a cluster of issues that individually are capable of resolution but collectively indicate that the transaction documents were assembled from inconsistent inputs:

- **The Draw Schedule does not foot.** Draw 9 shows $4,275,000 of components against a stated draw of $3,275,000, and the component columns aggregate to $48,500,000 against a $47,500,000 facility. The Detailed Budget's "Net Disbursable" total is overstated by $725,000. The 10% retainage is $3,475,000, but the documents release $3,275,000. See Issues 11, 12 and 13.
- **The environmental record is materially incomplete.** The NFA letter requires a deed notice to be recorded by **November 29, 2024**. The Phase I ESA (October 28, 2024) records no evidence of recording. The Appraisal (November 15, 2024) states it **is** recorded. The Title Commitment (effective December 5, 2024) searches the public records and **does not show it**. It is also absent from the Term Sheet's list of Permitted Exceptions. If the notice was not recorded, the NFA determination is out of compliance and the site's regulatory status is impaired; if it was recorded, the Title Policy will carry an unlisted exception. Either way the Bank needs the recorded instrument. The Phase II report and the NFA letter are not in the record at all. See Issues 21, 23 and 27.
- **The residential use restriction has not been resolved and the record does not establish its scope.** The Credit Memorandum asserts that fourteen residential units sit above the restricted 0.38 acres. The Phase I ESA expressly says that this "requires a detailed overlay" and was **not** determined. The number fourteen appears to have been taken from the unit count of three-bedroom units. The Appraisal expressly declines to adjust value for the restriction. See Issue 24.
- **Two dates are three days apart and cannot both be met.** Projected Substantial Completion is August 31, 2027; the Construction Maturity Date and the guaranteed completion date are August 28, 2027. Draw 8 is scheduled in the thirty-month of a thirty-month construction period and Draw 9 falls after maturity. See Issue 28.
- **Borrower's net worth cannot be reconciled and the covenant would be breached on day one.** Borrower's only identified asset is the Property, acquired for $8,200,000, encumbered by a $3,400,000 deed of trust. That balance sheet yields net worth of approximately **$4,800,000**, not the $14,200,000 asserted, and the proposed $12,000,000 covenant would fail immediately. See Issue 31.

4. Top-Risk Register

Ranked by severity. “Critical” means we would not close without resolution. “High” means a material restructuring or a substantive condition is required. “Medium” and “Low” are documentation and diligence items.

#	Issue	Severity	Resolution	Draft ref.
1	Loan-to-cost 83.77% vs 80% maximum; equity escrow does not cure it	**Critical**	Reduce Loan Amount to $45,360,000 **and** fund $2,140,000 equity (both, not either)	§ 8.1; § 3.1(g)
5	No borrower equity; three inconsistent accounts of the $8.2M land funding	**Critical**	Obtain source-of-funds certification; restate sources and uses; prohibit reimbursement of member advances	§ 5.4; § 7.5(d)
2	As-completed LTV 65.25% exceeds Term Sheet 65% cap	**Critical**	Cure follows from Issue 1; conform covenant and credit file	§ 8.2
23	NFA deed notice not evidenced as recorded	**Critical**	Obtain recorded instrument or NCDEQ written confirmation before closing	§ 3.1(j); Ex. H ¶ 6
24	Residential units above the restricted area: scope unverified	**Critical**	Architect’s overlay certified; NCDEQ modification or redesign; condition to advances	§ 3.1(k); § 10.6
39	Conflicting 100% membership interest pledges; intercreditor unexecuted	**Critical**	Executed intercreditor as an unwaivable closing condition	§ 3.1(c); Art. XVI
9	Interest reserve inadequate; three inconsistent projections	**High**	Size reserve on the Draw Schedule accrual at 4.35% (≈$5,215,800) or add ≈$365,000; add mandatory replenishment and adequacy testing	§ 4.5
11	Draw schedule does not foot ($48.5M of components; Draw 9 gap)	**High**	Rebuild schedule; substitute Exhibit C	§ 4.1; Ex. C
13	Retainage $3,475,000 vs released $3,275,000	**High**	Conform to 10%	§ 4.3; Ex. C ¶ 2
28	Completion 3 days after Construction Maturity Date; Draw 9 post-maturity	**High**	Add 30-day completion tolerance; re-phase milestones	§ 6.2(b); § 13.1
31	Borrower net worth $14.2M unreconciled; covenant fails on day one	**High**	Obtain reconciliation; redefine covenant	§ 8.5; § 3.1(p)
37	Operating Agreement 75% supermajority; mezzanine affiliate holds a veto	**High**	100% member consent; amend the approval thresholds	§ 3.1(d)
8	Project Budget omits payoff, unused line fee, exit/extension fee and cap cost	**High**	Add to budget or confirm outside sources	§ 5.14; Ex. B ¶ 2
6	Mezzanine debt service unfunded; combined coverage 0.93x	**High**	Disclose; add debt yield covenant and take-out analysis	§ 8.4; § 16.4
20	Brightleaf ARC approval: Appraisal says obtained, title officer says no evidence	**High**	Obtain ARC approval or deemed-approval evidence	§ 3.1(l)
17	Legal description internally inconsistent by 7.78 feet	**High**	Survey and corrected Exhibit A	§ 3.1(i); Ex. A
21	Permitted Exceptions omit the environmental use restriction	**High**	Add as a Permitted Exception	Ex. H ¶ 6

#	Issue	Severity	Resolution	Draft ref.
7	Loan proceeds fund $1,835,000 developer fee before equity is at risk	**High**	Defer; condition on completion and no overrun	§ 6.11; § 7.5
14	“Equity first” inconsistent with a $9,475,000 Draw 1 at 0% completion	**Medium**	Carve out Draw 1 expressly; reduce Draw 1	§ 4.2(i)
12	Detailed Budget “Net Disbursable” overstated by $725,000	**Medium**	Correct schedule	Ex. B ¶ 3
15	Contingency disbursed as a scheduled draw	**Medium**	Treat as reserve	§ 4.1; § 4.10
10	Interest reserve built on 3.50% SOFR; methodology inconsistent	**Medium**	Rebuild at current rate	§ 4.5(d)
3	Recommended restructure and loan sizing	**Critical**	See Section 5, Issue 3	§ 8.1
4	HVCRE classification (14.20% contributed capital vs 15%)	**Medium**	Accept classification or contribute additional $580,000	§ 8.1 note
16	FEMA panel number and effective date differ between Appraisal and Phase I ESA	**Low**	Obtain current flood determination	§ 3.1(s)
18	Frontage 420 ft (Appraisal) vs 500.5 ft (legal descriptions); parcel acreage differs	**Medium**	Survey to resolve	§ 3.1(i)
19	Title mechanics: expiry, underwriter, escrow officer, ICL, lien priority	**Medium**	Closing deliverables	§ 3.1(h)
22	Builder’s risk limit $34,750,000 is $12,750,000 below the Loan Amount	**Medium**	Require full insurable value	§ 11.1(a)
25	NFA conditions and deadlines not carried into the loan documents	**High**	Article X covenants	Art. X
26	Remediation volumes: 320 / 340 / 1,200 cubic yards	**Low**	Confirm from Phase II and completion report	Ex. E
27	Environmental document gaps; Phase II reliance letter	**High**	Deliver Phase II, NFA letter, reliance letters	§ 3.1(j)
29	CC&R assessment of ≈$34,500 p.a. omitted from NOI and valuations	**Medium**	Adjust NOI; disclose	§ 8.8
30	DSCR tested on trailing actuals before stabilization; no debt yield test	**High**	Test on stabilized basis; add debt yield	§ 8.3; § 8.4
32	No Guarantor net worth covenant; Term Sheet § 15 cross-reference error	**Medium**	Fix threshold or delete the Event of Default	§ 8.7; § 14.1(q)
33	Partial repayment guaranty: 25% aggregate or $11,875,000 per guarantor	**High**	Confirm 25% aggregate reading	§ 13.3
34	Carry guaranty scope: Term Sheet vs Credit Memorandum	**Medium**	Adopt Term Sheet formulation; extend to mini-perm	§ 13.2

#	Issue	Severity	Resolution	Draft ref.
35	Reporting requirements differ between Term Sheet and Credit Memorandum	**Low**	Single schedule	Ex. F
36	Extension conditions not in Term Sheet; 1.15x vs 1.25x	**High**	Conform; Borrower has not agreed	§ 2.13; Ex. G
38	SPE amendment and independent manager need the same 75% consent	**High**	100% consent as a closing condition	§ 3.1(d), (e)
40	North Carolina law: deficiency, usury, UCC Article 9, power of sale	**Medium**	Confirm guaranty structure before execution	§ 13.4; Art. XV
41	Contractor financials and bonding not a Term Sheet condition	**Medium**	Add as a closing condition	§ 3.1(n)
42	Term Sheet internal inconsistencies (LTV, “single advance”, deposit)	**Medium**	Memorandum of understanding with the Bank	§ 18.7
43	Party, address and name inconsistencies	**Low**	Correct in execution copies	—
44	Missing documents and open diligence	**High**	Section 8 closing checklist	§ 3.1

5. Schedule of Material Issues

Each issue below states the sources, our finding (with arithmetic where the issue is quantitative), our recommendation, and the place in the Draft where the point is addressed. Where the record is silent we say so; we have not supplied facts the documents do not contain.

Part A — Capital Structure and Loan Sizing

Issue 1 — Loan-to-Cost Ratio Exceeds the 80% Maximum, and the Prescribed Equity Escrow Does Not Cure It

Severity: Critical.

Sources: Term Sheet § 3.1 ($47,500,000), § 5.2 (Total Uses $56,700,000), § 6.1 (maximum LTC 80%); Credit Memorandum §§ 5.1, 5.3, 9.1, 10.1.2, 14.1; Draw Schedule, "Summary" worksheet (LTC Excess / Equity Shortfall $2,140,000).

Finding. The arithmetic is right and the conclusion is wrong. Loan-to-cost is $47,500,000 ÷ $56,700,000 = **83.7743%**, which exceeds the 80% maximum set in Term Sheet § 6.1. At 80%, the maximum senior loan is $56,700,000 × 0.80 = **$45,360,000**; the Loan exceeds that by **$2,140,000**. To restore 80%, either the Loan must come down or Total Project Costs must rise by $2,675,000 ($47,500,000 ÷ 0.80 = $59,375,000).

The Credit Memorandum's cure — deposit $2,140,000 into a Bank-controlled equity escrow — does not by itself change the ratio. Because the sources and uses allocates 100% of the $56,700,000 to the two loans (senior $47,500,000 = 83.77%; mezzanine $9,200,000 = 16.23%; Borrower cash equity **$0.00%**; Credit Memorandum § 5.1 and Appendix C; Draw Schedule "Summary"), there is no unfunded line item for the escrowed equity to pay. Adding $2,140,000 to sources produces $58,840,000 of sources against $56,700,000 of uses — a $2,140,000 surplus — while the Loan remains $47,500,000 and is still fully drawn to complete the Project. The escrowed cash does not reduce the numerator unless it reduces the commitment.

The Credit Memorandum presents the equity escrow (condition 10.1.2), a reduction of the Loan to $45,360,000, and additional evidence of independent land equity as **alternatives** ("either: (a) … or (b) … or (c) …"). They are not alternatives. Option (a) requires option (b) to have any effect on LTC.

Recommendation. Treat the two as a single fix: reduce the Loan Amount to **$45,360,000** and require the **$2,140,000** equity contribution. That closes: $45,360,000 senior + $9,200,000 mezzanine + $2,140,000 equity = $56,700,000. LTC becomes exactly 80.00%. Obtain the Senior Loan Committee's written confirmation that the commitment is reduced (this is a change to the credit approval and to the Term Sheet loan amount, so it requires Committee action, not merely documentation). Alternatives worth presenting to the Bank: (i) restate Total Project Costs upward by adding the omitted costs in Issue 8 — note that adding the Triangle Commercial Bank payoff alone at its $3,400,000 original principal would

bring Total Project Costs to $60,100,000 and LTC to 79.03%, but would require $3,400,000 of new funding (the same circularity); or (ii) substitute the Appraisal's $8,900,000 land value for the $8,200,000 cost basis in the budget, giving Total Project Costs of $57,400,000 and LTC of 82.75% — still above 80%. Neither alternative works without new equity.

Draft reference: § 8.1 (testing language and the arithmetic), § 3.1(g) (equity escrow condition with the reservation noted).

Issue 2 — The As-Completed Loan-to-Value Ratio Exceeds the Executed Term Sheet's 65% Limit

Severity: Critical.

Sources: Term Sheet § 4 ("The Lender's maximum loan-to-value ratio shall not exceed 65% on an as-completed basis") and § 6.2 (65% as-completed and as-stabilized); Credit Memorandum § 6.1 and § 12 (maximum LTV 70% for construction loans; as-completed 65.25% reported as "Pass"); Appraisal § 10 ($72,800,000 as-completed; $76,200,000 as-stabilized; LTV 65.25% and 62.34%).

Finding. $47,500,000 ÷ $72,800,000 = **65.2473%**. That exceeds the Term Sheet's 65% cap by 0.25 percentage points, or **$180,000** in principal amount ($72,800,000 × 0.65 = $47,320,000). The as-stabilized ratio ($47,500,000 ÷ $76,200,000 = 62.3360%) is compliant.

The Credit Memorandum does not report this. Its underwriting table (¶ 6.1) and its regulatory section (¶ 12) both state the applicable maximum as **70%**, described as "Bank Policy," and mark the ratio as a pass. The executed Term Sheet says 65%, twice. The executed Term Sheet is the operative commercial agreement; a policy maximum more permissive than the deal-specific maximum does not override it. The credit file should be corrected so that the Committee approved against the limit the term sheet actually contains.

Recommendation. The Issue 1 fix cures this as well: at $45,360,000, the as-completed ratio is 62.31% and the as-stabilized ratio is 59.53%. Conform the covenant in the Loan Agreement to **65%** (not 70%). Ask the Bank to correct the credit file and to confirm the 70% figure was not the basis of approval.

Draft reference: § 8.2 (both limits stated as 65%, with the computation and the conflict disclosed).

Issue 3 — Recommended Restructure and Loan Sizing

Severity: Critical (structuring).

Sources: All of the above; Credit Memorandum §§ 5.1, 5.3, 9.1, 12.

Finding. The record supports four internally consistent structures. We recommend the first.

	Structure	Senior loan	Mezzanine	True equity	LTC	LTV (as-completed)	HVCRE
A	**As documented**	$47,500,000	$9,200,000	$0	83.77 %	65.25%	Yes (14.20%)
B	**Credit Memorandum's escrow option taken alone**	$47,500,000	$9,200,000	$2,140,000 (unallocated)	83.77 %	65.25%	Yes (14.20%)
C	**Recommended: loan reduction + equity**	$45,360,000	$9,200,000	$2,140,000	80.00 %	62.31%	Yes (14.20%)
D	**Loan reduction + equity + land at appraised value**	$45,360,000	$9,200,000	$2,140,000 (land booked at $8,900,000)	80.00 %	62.31%	Borderline (15.16%)

Recommendation. Adopt Structure C and offer Structure D to the Bank as a means of addressing the regulatory capital issue in Issue 4. In each case obtain: (i) Senior Loan Committee approval of the reduced commitment; (ii) a revised Term Sheet or written confirmation of the reduced Loan Amount so that the Loan Documents and the Term Sheet agree; (iii) a source-of-funds certification for the $2,140,000 (Issue 5); and (iv) restated sources and uses. Note that any reduction in the Loan Amount reduces the Origination Fee ($475,000 → $453,600 at 1.00%) and the available Interest Reserve, and that the Draw Schedule in Exhibit C of the Draft must then be re-based — we have not attempted that adjustment because the Draw Schedule needs to be rebuilt in any event (Issue 11).

Draft reference: § 8.1, § 8.2, § 3.1(g).

Issue 4 — HVCRE Classification

Severity: Medium.

Sources: Credit Memorandum § 12; Appraisal § 10 (as-completed value $72,800,000); Draw Schedule (land at $8,200,000, no borrower equity).

Finding. The Credit Memorandum computes contributed capital as $2,140,000 equity plus $8,200,000 land at cost = $10,340,000, or **14.2033%** of the $72,800,000 as-completed value, against the 15% threshold ($10,920,000), a $580,000 shortfall. We reproduce those figures. Two observations. First, the calculation only reaches 14.2% because the Credit Memorandum credits the land at $8,200,000; on the sources and uses as actually constructed, the land is funded by the Mezzanine Loan and contributed capital would be **$2,140,000, or 2.94%** (Issue 5). Second, if the land is contributed at its **appraised** value of $8,900,000, contributed capital is $8,900,000 + $2,140,000 = $11,040,000, or **15.16%** — which would avoid HVCRE classification and the 150% risk weight, with no additional cash from the sponsor.

Recommendation. Present Structure D (Issue 3) to the Bank. Contributing the land at appraised value is the cheapest available route to the 15% threshold and is a matter of how the contribution is documented and evidenced, not of new money. Confirm with the Bank's regulatory reporting group that the land may be counted at appraised value under the applicable rule before the credit file is finalized.

Draft reference: § 8.1 (drafting note), § 5.4 (capital contribution schedule).

Issue 5 — The Record Gives Three Irreconcilable Accounts of How the $8,200,000 Land Cost Was Funded; There Is No Borrower Equity

Severity: Critical.

Sources: Term Sheet § 5.2 ("The land … was acquired by the Borrower prior to the closing of the Loan and is contributed to the Project as the Borrower's equity. The land acquisition was funded from prior capital contributions by the Borrower's members"); Credit Memorandum § 2.2 ("acquired by Ms. Vasquez-Torres on behalf of the Borrower through capital calls from all three members, including Brightleaf Investors Group LLC, at a total acquisition cost of $8,200,000"); Organizational Chart § 1.3 (land "contributed to Harborview Capital Partners LLC by Elena Vasquez-Torres at a cost basis of $8,200,000 … originally acquired by Ms. Vasquez-Torres in a transaction funded from her personal resources"; Brightleaf Investors Group LLC and Mr. Osei each contributed **$0**); Draw Schedule, "Detailed Budget" line 1.01 (Land Acquisition — Vendor "Prior Acquisition — Closed"; Funded by Senior Loan **$0**; Funded by Mezzanine Loan **$8,200,000**; Funded by Borrower Equity **$0**; note: "Previously closed; funded by mezzanine loan proceeds and member capital calls"); Title Commitment Schedule A ¶ 5 (title vested by Special Warranty Deed recorded in Book 7598, Page 443 (Parcel 1) and Page 445 (Parcel 2), dated June 12, 2023, from Foster Street Properties LLC).

Finding. Three accounts, each inconsistent with the others and with the record evidence:

1. **Member capital contributions** (Term Sheet; Credit Memorandum — "all three members, including Brightleaf Investors Group LLC").
2. **Ms. Vasquez-Torres's personal resources** (Organizational Chart; Brightleaf Investors Group LLC and Mr. Osei each at $0).
3. **Mezzanine Loan proceeds** (Draw Schedule Detailed Budget — the only place in the record that states a funding source for the land, and it states a lender source, not an equity source).

The recorded deed supports none of the equity accounts in the form given: it shows a **purchase by Harborview directly from Foster Street Properties LLC on June 12, 2023** — not a contribution of land to a newly formed entity, and not a purchase by Ms. Vasquez-Torres. The Organizational Chart's statement that the land was contributed "upon formation of the project entity" is inconsistent with a formation date of March 14, 2019 and an acquisition date of June 12, 2023.

The accounts also conflict on the acquisition **date**: the Phase I ESA says Harborview "acquired the Subject Property in 2022" (§ 2.2); the Appraisal says the $8,200,000 was "the price paid by Harborview Capital Partners LLC in early 2024" (§ 6.1); the deed says June 12, 2023.

The consequence is not semantic. If the land was acquired in 2023 with member money and is refinanced at closing with Mezzanine Loan proceeds, then at closing the sponsor is repaid $8,200,000 (less the Prior Deed of Trust payoff) and the Project ends with **no equity at all**. The Credit Memorandum would then have double-counted the land: once as a use funded by mezzanine debt in its sources and uses, and again as $8,200,000 of "land equity" in its equity analysis (§ 5.3, § 9.1) and in its HVCRE analysis (§ 12). That is the single most important finding in this review, and it is the reason the LTC, LTV and HVCRE conclusions in the Credit Memorandum cannot be relied on.

Recommendation. Before the Draft is circulated, require from Borrower (and from Borrower's counsel) a **schedule of all capital contributions and member advances since formation**, on a cash-movement basis, identifying for each: date, amount, contributor, bank account, and the use to which the funds were applied; together with the settlement statement for the June 2023 acquisition, the source of the $8,200,000 purchase price (including the extent to which the Prior Deed of Trust was assumed rather than paid), and a certification that no member advance will be repaid from the proceeds of the Loan or the Mezzanine Loan. Verify the cash movements against bank statements, not just against a schedule. Then restate the sources and uses so that equity and debt are each shown once, and present the restated table to the Committee. If the Mezzanine Loan does reimburse member advances at closing, that is a **Distribution** of loan proceeds to the sponsor on day one; it must be identified as such, approved explicitly, and carved out of (or, better, prohibited by) the negative covenant. The Draft prohibits it absent express permission (§ 7.5(d)) and requires the Disclosure Schedule (§ 5.4) — but the prohibition is only as good as the disclosure behind it.

Draft reference: § 5.4 and Schedule 5.4; § 7.5(d); § 5.11; § 2.3; § 3.1(g).

Issue 6 — Mezzanine Debt Service Is Not Funded Anywhere, and Combined Debt Service Coverage Is 0.93x

Severity: High.

Sources: Term Sheet § 1.4 (Mezzanine Loan $9,200,000, 12.50% fixed, coterminous); Credit Memorandum § 4.4 (interest "accrues and is paid-in-kind during construction; cash pay during mini-perm"); Draw Schedule Detailed Budget (no line item for mezzanine interest); Appraisal § 7 (Stabilized NOI $4,876,800); Credit Memorandum § 6.1 (DSCR 1.31x, senior only).

Finding. No document in the record funds Mezzanine Loan debt service. The Approved Project Budget of $56,700,000 contains no line for mezzanine interest, in either its PIK or its cash-pay form. At 12.50% on $9,200,000:

- PIK accretion over a 30-month Construction Period: $9,200,000 × 12.50% × 2.5 = **$2,875,000**, producing an accreted balance of approximately **$12,075,000** at the start of the Mini-Perm Period.
- Cash interest during the 12-month Mini-Perm Period on that balance: **$1,509,375**.
- If interest is paid in cash from the outset, the monthly Mezzanine Loan interest is $95,833, is not in the budget, and Borrower has no cash with which to pay it (Issue 5).

Every coverage figure in the record is a **senior-only** figure. On a combined basis, using the Appraiser's Stabilized NOI and the Credit Memorandum's 4.35% SOFR assumption: combined debt service is $3,728,750 senior + $1,509,375 mezzanine = **$5,238,125**, and combined coverage is **0.93x**. Combined debt at stabilization would be $47,500,000 + $12,075,000 = $59,575,000, or **78.18%** of the $76,200,000 as-stabilized value, and the combined debt yield is **8.19%** (senior-only debt yield 10.27%). The property does not cover total debt service from operations; the mini-perm exit depends on refinance proceeds, not on cash flow.

Recommendation. (a) Require disclosure of the Mezzanine Loan's full payment mechanics before closing, and require quarterly reporting of accreted balances (Draft § 16.4). (b) Add a **debt yield covenant** of not less than 8.50% (Draft § 8.4) — a rate-insensitive measure, which the Term Sheet lacks entirely. (c) Require a formal take-out/refinancing analysis at lease-up and as a condition to the Extension Option, including the combined leverage ratio. (d) Do not represent in the credit file that the Loan is self-liquidating; on a whole-loan basis it is not.

Draft reference: § 16.4 (with the computation noted), § 8.4, Exhibit G(k).

Issue 7 — Loan Proceeds Fund a $1,835,000 Developer Fee Payable to the Borrower Before Any Equity Is at Risk

Severity: High.

Sources: Term Sheet § 5.2 (Developer Fee $2,835,000, "5% of total project cost"); § 14 (no distributions during the Construction Period "except for payment of the developer fee in accordance with the approved Project Budget"); Draw Schedule Detailed Budget line 5.01 (Vendor: **Harborview Capital Partners LLC**; Senior Loan $1,835,000; Mezzanine Loan $1,000,000); Draw Schedule "Draw Schedule" worksheet, draws 6 through 9 (Developer Fee allocated).

Finding. The Developer Fee is 5.00% of Total Project Costs and is payable to **Borrower itself**. $1,835,000 of it is funded by the senior Loan and $1,000,000 by the Mezzanine Loan. Combined with Issue 5, the economics are: the loans fund 100% of costs, of which 5% ($2,835,000) flows to the sponsor-controlled Borrower as a fee. That is not equity in any sense; it is negative equity.

The Term Sheet's distribution carve-out is also incoherent as drafted. Borrower is the payee, so a developer fee paid to Borrower is not a Distribution at all (there is no transfer to a member); and if the fee is then distributed to members during the Construction Period, that **is** a Distribution that the carve-out prohibits. The Draft

resolves this by defining “Distributions” to capture both (§ 1.1), permitting the fee only to Borrower (§ 6.11), and conditioning it.

Recommendation. (a) Defer the Developer Fee: it should be earned only on Substantial Completion, and paid only if no Cost Overrun, no Interest Reserve deficiency, no unfunded equity obligation and no Event of Default exists, and only after the Construction Inspector confirms sufficient funds to complete. (b) Cap the senior-funded portion at the $1,835,000 allocated in the budget and prohibit payment of the $1,000,000 mezzanine-funded portion from Loan proceeds. (c) Require that the fee be paid to Borrower and not to any member or Affiliate (already the budget’s vendor, but should be a covenant). (d) Consider subordinating the entire fee to repayment of the Loan — the strongest available answer to the equity problem, and one the Bank can reasonably require given that it is lending 100% of cost.

Draft reference: § 6.11; § 7.5(a) and (d); definition of “Distributions” in § 1.1.

Part B — Budget, Interest Reserve and Disbursement

Issue 8 — The Approved Project Budget Omits Known Costs

Severity: High.

Sources: Term Sheet § 5.2 and Exhibit C; Credit Memorandum § 5.2 and Appendix C; Draw Schedule Detailed Budget; Term Sheet §§ 3.4, 12, 18; Credit Memorandum § 9.7; Title Commitment Schedule B–II ¶ 10.

Finding. The budget totals $56,700,000 and includes land, hard costs, soft costs, the Interest Reserve, the Origination Fee, the Developer Fee and contingency. It does not include any of the following, each of which is a real cost of this transaction:

Omitted item	Source of the obligation	Estimated amount
Payoff of the Prior Deed of Trust (Triangle Commercial Bank)	Title Commitment Sch. B–II ¶ 10; Credit Memorandum § 9.7	Up to $3,400,000 (original principal; **current balance not in record** — the title officer notes counsel's advice that the loan was "partially repaid")
Unused line fee, 0.25% p.a. on average undrawn balance	Term Sheet § 3.4	≈$125,400 over 30 months (average undrawn balance computed from the Draw Schedule's own draw pattern: $20,070,815)
Exit Fee, 0.50% of outstanding balance	Term Sheet § 3.4	$237,500 if repaid during construction; $118,750 in the first six months of the mini-perm
Extension Fee, 0.25%	Credit Memorandum § 11(e) (not in the Term Sheet)	≈$118,750
Interest Rate Cap premium	Credit Memorandum §§ 6.1, 9.8 (recommended)	Not quantified anywhere in the record
Mezzanine Loan interest	Issue 6	≈$2,875,000 (PIK, 30 months)

The Prior Deed of Trust point deserves emphasis. The budget contains no line for its payoff, yet the Bank's own title condition requires it to be satisfied at closing, and the Credit Memorandum says Borrower's counsel "represents that this deed of trust will be satisfied at closing from the proceeds of the senior construction loan or from borrower funds" (§ 9.7). Funding a $3,400,000 payoff from senior Loan proceeds would create a $3,400,000 hole in a budget in which every dollar is already allocated. Funding it from "borrower funds" is not credible given Issue 5. The most likely reading — which we recommend testing with the closing statement — is that the $8,200,000 "Land Acquisition" line is in substance a **refinancing** of the land (payoff of the Prior Deed of Trust plus reimbursement of member advances), funded by the Mezzanine Loan. If so, the sources and uses is internally consistent but confirms zero equity (Issue 5).

Recommendation. Obtain a current payoff letter before the budget is finalized, and require Borrower to present a restated sources and uses that shows the payoff, all financing fees and the cap premium as uses, with an identified source for each. Add the items to Exhibit B, or list them in a schedule of costs to be funded outside the Loan (as Exhibit B ¶ 2 of the Draft now does). Confirm in writing that the Loan will not fund any portion of the payoff.

Draft reference: § 5.14 and Schedule 5.14; Exhibit B ¶ 2; § 2.9(b)–(d).

Issue 9 — The Interest Reserve Is Inadequate, and the Record Contains Three Mutually Inconsistent Measurements

Severity: High.

Sources: Term Sheet § 10 ($4,850,000); Credit Memorandum § 6.2 and § 9.2 (shortfall $565,000; at +100 bps, $1,278,000); Draw Schedule "Draw Schedule" worksheet, Section 2 (surplus $221,325 at 3.50% SOFR; shortfall $(365,830) at 4.35%); Draw Schedule Detailed Budget line 4.01 ("assumes SOFR at 3.50%").

Finding. Three documents, three answers, one question:

Source	SOFR assumption	All-in rate	Total construction interest	Surplus / (shortfall) vs $4,850,000
Draw Schedule, Section 2 (month-by-month accrual)	3.50%	6.75%	$4,628,675	**$221,325**
Draw Schedule, Section 2 sensitivity table	4.35%	7.60%	5,215,830∨¿∗¿ (365,830)**	
Credit Memorandum § 6.2 (average-balance shortcut)	4.35%	7.60%	5,415,000∨¿∗¿ (565,000)**	

We reproduced the Draw Schedule's month-by-month accrual and it is arithmetically sound: eight balance steps (Draws 1 through 8), each at balance × 6.75% ÷ 12, aggregate to **$4,628,675**, an implied average outstanding balance of **$27,429,185** over 30 months. Two defects follow.

First, the reserve was sized at **3.50%** Daily Simple SOFR. Every other document in the record — Term Sheet § 4, Credit Memorandum §§ 6.1, 6.2 and 9.2, and the Appraisal § 10 — uses **4.35%** as the current rate. The budget line itself says "assumes SOFR at 3.50%." The reserve is therefore sized on a rate 85 basis points below the rate the Bank used to approve the credit.

Second, the Credit Memorandum's $565,000 shortfall is overstated. Its method is $28,500,000 × 7.60% × 2.5 = $5,415,000, using an assumed average balance of $28,500,000 described as "roughly 60%" of the commitment. The actual average balance implied by the Draw Schedule's own draw pattern is **$27,429,185**, not $28,500,000. The correct total at 7.60% is therefore approximately 5,211,545∗¿andthecorrectshortfallapproximately∗¿ **(361,545)** — about $203,500 less than the Credit Memorandum states. (The Draw Schedule's own sensitivity result, $(365,830), is consistent with ours; the small difference is rounding in its monthly recomputation.)

The conclusion is unchanged — the reserve is inadequate — but the magnitude matters, because it determines how much the Bank should require Borrower to contribute, and because the Senior Loan Committee approved $4,850,000 as "adequate based on current rate assumptions" (¶ 6.2, ¶ 9.2). It is not adequate at the current rate.

Recommendation. (a) Re-size the Interest Reserve by re-running the Draw Schedule accrual at the then-current Daily Simple SOFR at closing (4.35% per the record), producing approximately $5,211,500, or approximately **$361,500 more** than the $4,850,000 budgeted. (b) Correct the Credit Memorandum's § 6.2 and § 9.2 analysis and advise the Committee that its adequacy finding was based on a stale rate. (c) Retain in the Loan Agreement the mandatory replenishment obligation (Term Sheet § 10; Credit Memorandum § 6.2) together with the adequacy test at each draw, which the Term Sheet does not require and the Credit Memorandum only recommends. (d) Note that any reduction in the Loan Amount under Issue 1 reduces the funds available for the Interest Reserve, so the reserve and the loan amount must be sized together.

Draft reference: § 4.5 (including the Interest Reserve Adequacy Test at § 4.5(d) and replenishment at § 4.5(e)); § 14.1(b).

Issue 10 — Interest Reserve Methodology

Severity: Medium.

Sources: Term Sheet § 3.3 (interest on actual days over a 360-day year); Draw Schedule Section 2 (monthly interest computed as balance × rate ÷ 12).

Finding. The Draw Schedule computes each month's accrual as balance × all-in rate ÷ 12. That is a 30/360 convention. The Term Sheet requires **actual days elapsed over a 360-day year**. Over a 30-month period the difference is small (a few thousand dollars) but it is systematic, and it compounds whenever the reserve is tested. More significantly, the Draw Schedule assumes each draw occurs at the **start** of a month and that no draw occurs in the same month as another; the actual timing will differ, and because the reserve is funded at closing and accrues interest on itself, timing errors run in one direction. We recommend the reserve be sized on a month-by-month basis using actual/360 and the projected draw dates in the Draw Schedule rather than a level average balance.

Recommendation. Rebuild the interest reserve analysis on an actual/360 basis keyed to the estimated draw dates (February 2025 through October 2027). Use the same schedule as the basis for the Interest Reserve Adequacy Test so that the test and the sizing are consistent. Do not use the average-balance method in the Credit Memorandum for either purpose.

Draft reference: § 2.4(b); § 4.5(d).

Issue 11 — The Draw Schedule Does Not Foot

Severity: High.

Sources: Draw Schedule, "Draw Schedule" worksheet, Section 1; Term Sheet § 9.2; Credit Memorandum § 7.1.

Finding. We re-added every column. Every draw row foots **except Draw 9**:

Draw	Sum of components (net hard cost + soft + reserve + fee + developer fee + contingency)	Stated total draw	Difference
1	$9,475,000	$9,475,000	$0
2	$5,212,500	$5,212,500	$0
3	$6,950,000	$6,950,000	$0
4	$6,950,000	$6,950,000	$0
5	$5,212,500	$5,212,500	$0
6	$3,475,000	$3,475,000	$0
7	$3,475,000	$3,475,000	$0
8	$3,475,000	$3,475,000	$0
9	**$4,275,000**	**$3,275,000**	**$1,000,000**
Total	**$48,500,000**	**$47,500,000**	**$1,000,000**

Draw 9 shows the $3,475,000 retainage release plus a $200,000 developer fee allocation plus a $600,000 contingency allocation — $4,275,000 — against a stated draw of $3,275,000. As a result the component columns aggregate to **$48,500,000** against a $47,500,000 facility. The $1,000,000 difference is exactly the portion of the Developer Fee that the Detailed Budget allocates to the **Mezzanine Loan** (5.01: senior $1,835,000, mezzanine $1,000,000): the draw schedule disburses the full $2,835,000 from the Loan and then plugs Draw 9 downward by $1,000,000 to force the total to $47,500,000.

Two consequences. First, the schedule as delivered would have the Loan disburse $1,000,000 of Developer Fee that the budget says the Mezzanine Loan funds. Second, because the plug is applied to a row whose hard-cost component **is** the retainage release, a reviewer cannot tell from the schedule whether the retainage is fully released (Issue 13).

Recommendation. Reject the schedule. Substitute **Exhibit C** to the Draft, which we rebuilt as follows: Draws 1 through 8 unchanged (each foots); Draw 9 = full $3,475,000 retainage release, with no developer fee or contingency allocated to it; developer fee and contingency shown separately as reserve items, disbursed only on approval. The rebuilt schedule foots to $47,500,000 and reconciles to the Detailed Budget’s funding columns. Borrower must re-issue the schedule in this form, certified by the Managing Member, before it is attached as an exhibit.

Draft reference: § 4.1 (reserves are not scheduled disbursements); § 4.10; Exhibit C and its notes.

Issue 12 — The Detailed Budget’s “Net Disbursable” Total Does Not Foot

Severity: Medium.

Sources: Draw Schedule, “Detailed Budget” worksheet (column “Net Disbursable (excl. Retainage)”).

Finding. The column foots to **$45,025,000** but the grand total row states **$45,750,000** — a $725,000 overstatement. We confirmed this by summing every

line item. (The relationship Total Project Costs less Retainage = $56,700,000 − $3,475,000 = $53,225,000 is a third figure again, so the column is not defined consistently either; the $45,025,000 column sum equals Total Project Costs less Retainage less the $8,200,000 land already disbursed.)

Separately, every other column in the Detailed Budget foots and the sources and uses balances: Total Project Costs $56,700,000; Loan $47,500,000; Mezzanine Loan $9,200,000; **Borrower equity $0**; Retainage $3,475,000.

Recommendation. Correct the total. Because the column definition is unclear, redefine it (we suggest "Total Project Costs less Retainage less amounts already disbursed") and label it accordingly.

Draft reference: Exhibit B ¶ 3.

Issue 13 — Retainage: 10% Is $3,475,000, but the Documents Release $3,275,000

Severity: High.

Sources: Term Sheet § 9.1 ("a 10% retainage holdback"); § 9.2 (Draw 9 "Retainage Release" $3,275,000); Credit Memorandum § 7.1 (same; and ¶ 7.1 states the retainage "represents approximately 9.4% of the hard construction cost GMP of $34,750,000"); Draw Schedule Detailed Budget (Retainage $3,475,000 = exactly 10%).

Finding. 10% of the $34,750,000 GMP is **$3,475,000**. The Term Sheet, the Credit Memorandum and the Draw Schedule all state the release as **$3,275,000**. The Credit Memorandum notices the discrepancy and describes the release as "approximately 9.4%" rather than correcting it: $3,275,000 ÷ $34,750,000 = **9.4245%**. The $200,000 difference is unexplained and appears to be a plug (Issue 11). Either the retainage is 10% and the release is $3,475,000, or it is 9.42% and the documents should say so.

Recommendation. Conform to 10% / $3,475,000. Retainage is the Bank's principal protection against mechanics' lien exposure during the statutory lien period; understating the release by $200,000 while describing the holdback as 10% invites an argument at the retainage draw that the Bank is obliged to release more than the schedule shows.

Draft reference: § 4.3; Exhibit C ¶ 2.

Issue 14 — "Equity First" Is Inconsistent with a $9,475,000 Draw at 0% Completion

Severity: Medium.

Sources: Credit Memorandum § 7.2 ("Equity First. The Borrower's equity … must be fully invested in the Project before any loan advances are made, other than the initial closing advance (Draw 1)"); § 10.2.8; Draw Schedule (Draw 1 = $9,475,000 at 0% cumulative completion); Term Sheet § 9.2.

Finding. Draw 1 disburses **$9,475,000** — 19.95% of the facility — at zero percent completion, comprising 100% of Soft Costs ($4,150,000), the entire Interest Reserve ($4,850,000) and the Origination Fee ($475,000). The equity-first principle is therefore satisfied only by an express carve-out for the largest single leakage in the facility. In substance, the Bank funds 100% of soft costs and the whole interest reserve at closing while no construction has occurred and no borrower cash is at risk.

Two further points on Draw 1. Disbursing 100% of soft costs up front is aggressive; soft costs are typically drawn as incurred, and a front-loaded soft cost draw means the Bank has no visibility into actual soft cost spend until much later. And the Interest Reserve is funded into the Loan and accrues interest on itself — so approximately $4.85 million of the draw earns interest that is itself paid from the same $4.85 million. That is conventional for construction loans, but it should be sized on a correctly stated rate (Issue 9).

Recommendation. (a) Keep the express Draw 1 carve-out but reduce Draw 1: disburse the Origination Fee and the Interest Reserve at closing, and disburse soft costs **as incurred**, against invoices, in the first several draws. That would reduce Draw 1 by up to $4,150,000 and materially improve the Bank's position without changing the facility amount. (b) If the Bank prefers to keep the single soft-cost draw, add a covenant that any soft cost line that comes in under budget is credited against the Loan, not retained by Borrower.

Draft reference: § 4.2(i) (carve-out with the drafting note); § 4.2(d)–(f).

Issue 15 — Contingency Is Disbursed as a Scheduled Draw Rather Than Held as a Reserve

Severity: Medium.

Sources: Draw Schedule Section 1 (contingency amounts allocated in Draws 2 through 9: $521,250, $695,000, $695,000, $521,250, $102,500, $102,500, $113,750, $600,000); Credit Memorandum § 5.2 (contingency $1,440,000, i.e., 4.14% of hard costs).

Finding. The contingency is 4.14% of hard costs, which is within normal range. But the Draw Schedule treats it as a scheduled cost: $521,250 of contingency is disbursed at Draw 2 (foundation complete), before any change order exists, and the allocations step down across later draws. A contingency is a reserve — it should be held and disbursed only against an identified cost, because its entire purpose is to absorb the unforeseen. Disbursing it on a schedule converts the cushion into working capital.

Recommendation. Treat the contingency as a reserve (Draft § 4.1 and § 4.10): advanced only on the Bank's written approval of a specific requisition identifying the cost, its cause, and why a budgeted line does not cover it. Require the Construction Inspector to opine on the adequacy of the remaining contingency at each draw.

Draft reference: § 4.1; § 4.10(a); Exhibit C.

Part C — Title, Survey, Legal Description and Insurance

Issue 16 — The Flood Zone Determination Is Internally Inconsistent

Severity: Low.

Sources: Appraisal § 2 (“Flood Zone X … Community Panel Number 3710406400J, with an effective date of May 2, 2019”); Phase I ESA § 2.3 (“FEMA Flood Insurance Rate Map Panel 3720098700J, effective March 2, 2009 … Zone X”).

Finding. Two different FEMA panel numbers and two different effective dates for the same site. Both conclude Zone X (minimal hazard) and both conclude that flood insurance is not required, so the conclusions agree even though the identifiers do not — one of the two is simply wrong or out of date. The Term Sheet (§ 19) requires flood insurance only if the Property is in a Special Flood Hazard Area, and the Credit Memorandum (§ 8.1, § 12) says a determination will be obtained prior to closing.

Recommendation. Obtain a current standard flood hazard determination from a vendor acceptable to the Bank (a requirement of the Bank’s own flood compliance program in any event) and do not rely on either document. Insert the determination in the closing file. Do not issue the Loan without a compliant determination, because the penalties for lending on improved real property in a SFHA without flood insurance are the Bank’s, not the Borrower’s.

Draft reference: § 3.1(s); § 11.1(e).

Issue 17 — The Legal Description Is Internally Inconsistent by 7.78 Feet

Severity: High.

Sources: Title Commitment Schedule A ¶ 6 (both parcel descriptions).

Finding. Parcel 1 is described as a rectangle with a north-south dimension of 298.62 feet and an east-west dimension of **305.41 feet**, beginning at a point in the eastern right-of-way margin of Foster Street. Parcel 2 begins at the **southwestern corner of Parcel 1** and its second call runs “South 87°45’27” East, **297.63 feet** to a new iron pipe, **being the southeastern corner of Parcel 1**.” That is not possible: the southeastern corner of Parcel 1 is 305.41 feet east of its southwestern corner, not 297.63 feet. The description is short by **7.78 feet**, and Parcel 2’s closing call (“thence along the southern boundary of Parcel 1, North 87°45’27” West, 297.63 feet to the point and place of BEGINNING”) cannot close on Parcel 1’s southern boundary for the same reason.

We checked the areas and they do reconcile (298.62 × 305.41 = 91,201.5 sf = 2.094 acres, against the stated 2.09; 201.88 × 297.63 = 60,085.5 sf = 1.379 acres, against the stated 1.38; total 151,287 sf = 3.473 acres), which suggests the error is in one distance call rather than in the overall geometry. But an error of 7.78 feet on a boundary that abuts a neighbouring parcel is exactly the kind of defect that produces a boundary dispute, an adverse possession claim, or a title exception that the Bank cannot remove.

The Term Sheet leaves Exhibit A blank: "*[Legal descriptions to be provided by Aldersgate Title & Escrow Inc. and confirmed by survey prior to closing.]*" The Draft reproduces the title commitment descriptions with the defect flagged.

Recommendation. Require the ALTA/NSPS survey as a hard closing condition (it already is under Title Commitment Schedule B–I ¶ 5 and Term Sheet § 18, but it has not been obtained) and require the surveyor to reconcile the two calls and to certify a corrected description. Conform Exhibit A to the certified survey, obtain the Title Company's confirmation that it will insure the corrected description, and delete or modify standard exceptions 2 and 3 (encroachments, overlaps, boundary disputes) on the basis of the survey and an owner's affidavit.

Draft reference: § 3.1(i); Exhibit A and its drafting note.

Issue 18 — Frontage and Parcel Acreage Figures Conflict Across the Record

Severity: Medium.

Sources: Appraisal § 2 ("approximately 420 feet of frontage along Foster Street on the western boundary"; combined 3.47 acres); Title Commitment Schedule A ¶ 6 (Parcel 1 2.09 acres; Parcel 2 1.38 acres; combined 3.47 acres); Phase I ESA § 1 and § 2.1 (Parcel 0821-04-72-3341 "approximately 1.89 acres"; Parcel 0821-04-72-4102 "approximately 1.58 acres"; combined 3.47 acres); Term Sheet § 2 (3.47 acres combined).

Finding. The combined acreage is consistently 3.47 acres, but the split between the parcels is not: title says 2.09 / 1.38; the environmental consultant says 1.89 / 1.58. Both sum to 3.47, which suggests one of them transposed the figures. The legal descriptions support the title figures (see Issue 17). Frontage is also inconsistent: the Appraisal says 420 feet along Foster Street; the two legal descriptions together give 298.62 + 201.88 = **500.50 feet**. Neither figure can be derived from the other.

This matters beyond tidiness. The environmental restriction applies to the northeast corner of **Parcel 0821-04-72-4102**, and the acreage of that parcel determines what proportion of it is restricted (0.38 ÷ 1.38 = 27.5% on the title figures; 0.38 ÷ 1.58 = 24.1% on the ESA figures). It also matters because the Phase I ESA's site orientation is inconsistent with the legal description: the ESA says the site "fronts Foster Street to the north" and that Parcel 0821-04-72-3341 is the "western parcel," while the legal descriptions place Foster Street on the **western** boundary and describe Parcel 2 as lying directly **south** of Parcel 1. The ESA's Figure 3 narrative repeats the error ("Foster Street is depicted along the northern boundary"; parcels arranged east-west).

Recommendation. Have the surveyor fix the parcel areas and frontage, and have the environmental consultant (or the Bank's environmental consultant) confirm the location of the Environmental Restricted Area **by reference to the recorded deed notice and the survey**, not by reference to the ESA's figure. The Loan Agreement should define "Environmental Restricted Area" by metes and bounds

tied to the deed notice, which the Draft does (§ 1.1), precisely because the ESA's spatial description cannot be mapped onto the legal description.

Draft reference: § 1.1 ("Environmental Restricted Area"); Exhibit E Part 1; § 3.1(i).

Issue 19 — Title Mechanics: Commitment Expiry, Underwriter, Escrow Officer and Lien Priority

Severity: Medium.

Sources: Title Commitment (Notes and Conditions; Note 4; Note 6); Term Sheet § 18.

Finding. Four points, none individually serious but each a closing-file defect if not addressed:

(a) **The commitment expires June 5, 2025.** The target Closing Date is February 28, 2025, so there is time; but if closing slips past June 5, 2025 (which is plausible given the open items in Section 8), the commitment must be extended before closing. Add to the closing checklist.

(b) **The issuing underwriter is not identified.** The commitment describes Aldersgate as "a title insurance company authorized to transact business in the State of North Carolina." A commitment should name the underwriting company whose policy will issue. Confirm whether Aldersgate is a direct writer or an agent, identify the underwriter, and confirm its financial strength and its acceptance of the Bank's required endorsements.

(c) **The escrow officer's email domain does not match the company.** Note 6 gives "plangley@crestviewtitle.com" for Aldersgate Title & Escrow Inc. That is either a legacy domain, a rebranding, or a template artifact. Confirm before wiring funds. Combined with Note 3 (Insured Closing Letter available on request), we recommend the Bank obtain the ICL and verify the wire instructions by telephone call-back to an independently confirmed number — a standard control that costs nothing.

(d) **Mechanics' lien priority.** Note 4 correctly flags N.C.G.S. § 44A-10: a claim of lien relates back to the first furnishing of labor or materials. If any work has begun or materials have been delivered before the Deed of Trust is recorded, the Bank's first-priority position is at risk. The record shows demolition in August 2024 and remediation in September 2024 — i.e., **substantial prior work on the site**. Whether that work gives rise to lien rights that relate back ahead of the Deed of Trust depends on whether the work was lienable and whether the claimant is the same "improver." Obtain a survey and an owner's/general contractor's affidavit confirming no labor or materials have been furnished for the **Project** before recording, and full lien releases from the demolition and remediation contractors before closing.

Recommendation. Add each item to the closing checklist; make the ICL and the pre-recording lien affidavits closing conditions.

Draft reference: § 3.1(h); § 6.2(c).

Issue 20 — Brightleaf Historic District ARC Approval: A Direct Conflict Between the Appraisal and the Title Officer

Severity: High.

Sources: Appraisal § 2 ("the architectural design has been reviewed and approved by the Brightleaf Historic District Association in accordance with the CC&Rs"); Title Commitment Schedule B–II ¶ 11 Note ("The Company has not received evidence that the current project plans … have been submitted to or approved by the Brightleaf Historic District Association Architectural Review Committee"); Credit Memorandum §§ 9.8 and 10.1.14 (requires evidence of approval as a closing condition).

Finding. The two statements are irreconcilable. One of them is wrong. The Declaration recorded in Book 6984, Page 1155 (as amended in Book 7102, Page 388) requires prior written ARC approval for all new construction, requires submission at least **ninety (90) days** before the anticipated commencement of construction, deems approval to have been granted if the ARC does not act within **sixty (60) days** of a complete submission, and gives the Association and any affected owner a right to seek **injunctive relief to halt unapproved construction**. The Title Policy will carry the Declaration as an exception (Schedule B–II ¶ 11), so the Bank is not insured against an enforcement action.

If ARC approval has not been obtained and the deemed-approval period has not run, construction commenced on or after the Closing Date could be enjoined, which would be both a Completion Guaranty trigger and an Event of Default. As at the date of the Title Commitment (December 5, 2024), the 90-day pre-construction submission requirement could not be satisfied before a February 28, 2025 closing unless submission occurred by November 30, 2024 — and the title officer says there is no evidence of submission at all.

Recommendation. Treat this as a high-priority closing condition. Require from Borrower: (a) a dated copy of the ARC submission package; (b) the ARC's written approval, or (c) evidence that 60 days have elapsed since a complete submission without written action (deemed approval), together with a supporting opinion from Borrower's counsel on the sufficiency of the submission; and (d) written confirmation from the Title Company that it will not except to the absence of approval. Given the timeline, the Bank should expect that closing may need to be deferred, or the deemed-approval route relied on with a supporting legal opinion and, if available, a letter from the Association.

Draft reference: § 3.1(l); § 6.3 (no modification to plans that would require further ARC approval).

Issue 21 — The Permitted Exceptions Omit the Environmental Use Restriction

Severity: High.

Sources: Term Sheet § 18 (four Permitted Exceptions: standard exceptions; Duke Energy easement; City stormwater easement; Brightleaf CC&Rs); Title Commitment Schedule B–II ¶¶ 7–13 (does not list an environmental use restriction); Appraisal § 8 ("This land use restriction is memorialized in a Declaration of Land Use Restrictions recorded at the Durham County Register of Deeds"); Phase I ESA § 7 Condition 4 (deed notice required to be recorded by November 29, 2024).

Finding. The Term Sheet enumerates four Permitted Exceptions and requires all other Schedule B–II matters to be removed at or before closing. The environmental land use restriction is a **fifth** exception that is not on the list. It cannot be removed — it is a condition of the NFA determination and must remain of record. Left unaddressed, the Term Sheet's own closing condition ("All other exceptions … shall be removed, released, or otherwise satisfied on or before the Closing Date") is either unsatisfiable or would require the Bank to accept the Title Policy with an unapproved exception.

Recommendation. Add the recorded Declaration of Land Use Restrictions / deed notice as a Permitted Exception (Draft Exhibit H ¶ 6), with recording information inserted on recordation. This is also the natural place to define the Environmental Restricted Area by reference.

Draft reference: Exhibit H ¶ 6; § 1.1.

Issue 22 — Builder's Risk Insurance Is Capped Below the Loan Amount

Severity: Medium.

Sources: Term Sheet § 19 (Builder's Risk "in an amount not less than the total hard construction costs ($34,750,000)"); Credit Memorandum § 8.1 (same); Draw Schedule Detailed Budget line 3.09 (builder's risk premium $210,000).

Finding. The required limit equals the GMP exactly and is **$12,750,000 less than the Loan Amount**. Improvements under construction will be worth the GMP plus soft costs, developer fee and interest — that is, the Loan balance will exceed the insured value. On a total loss, the Bank's recovery would be capped at $34,750,000 against an exposure that, by the end of construction, will be approximately $47,500,000. The GMP is a cost, not an insurable value; the two are not the same measure.

Recommendation. Require builder's risk in an amount not less than the full insurable replacement value of the improvements (which should be not less than the GMP plus soft costs and the developer fee, and in no event less than the outstanding principal balance of the Loan). Add soft cost and, if available, delay-in-completion and ordinance-or-law coverage. The incremental premium is small relative to the coverage gap.

Draft reference: § 11.1(a) and its drafting note.

Part D — Environmental

Issue 23 — The NFA Deed Notice Is Not Evidenced as Recorded, and the Record Conflicts on Whether It Was

Severity: Critical.

Sources: Phase I ESA § 1 and § 7 Condition 4 (deed notice to be recorded in the Durham County Registry within 60 days of the NFA letter dated September 30, 2024 — i.e., by **November 29, 2024**; and "as of the date of this Phase I ESA (October 28, 2024), the consultant was not provided evidence that the required deed notice has been recorded"); Appraisal § 8 ("memorialized in a Declaration of Land Use Restrictions recorded at the Durham County Register of Deeds"); Title Commitment (effective December 5, 2024; Schedule B–II ¶¶ 7–13 list no such instrument); Credit Memorandum § 10.1.7 (does not require the deed notice); Term Sheet § 17 (does not mention the deed notice).

Finding. Three documents, three positions, and the two that post-date the deadline disagree:

- Phase I ESA (October 28, 2024 — before the deadline): no evidence of recording; deadline had not yet passed.
- Appraisal (November 15, 2024 — before the deadline): states the restriction **is** recorded. The appraiser cannot have verified this; the deadline had not yet arrived when the appraisal was dated.
- Title Commitment (effective December 5, 2024 — **after** the deadline): performs a full public-records search of the Durham County Registry and lists thirteen Schedule B–II exceptions. **No declaration of land use restrictions appears.** If the deed notice had been recorded between September 30 and November 29, 2024, a commitment effective December 5, 2024 should show it.

The title officer's silence is significant evidence that the notice was **not** recorded. If it was not, the NFA determination is out of compliance with its own condition 4, and the site's regulatory status ("NFA — Conditional") is impaired. Neither the Term Sheet nor the Credit Memorandum makes the deed notice a closing condition; the Credit Memorandum's environmental condition (§ 10.1.7) addresses the vapor mitigation system, the use restriction and the Phase I/II, but not the notice.

Recommendation. This is a closing condition, not a diligence item. Require: (a) the recorded instrument, with recording data, or (b) written confirmation from NCDEQ that the recording deadline has been satisfied by a filing that the Title Company has not yet indexed, or (c) if the deadline was missed, written confirmation from NCDEQ that the NFA determination remains in effect notwithstanding late recording, or (d) a re-issued NFA letter. Do not accept Borrower's or Borrower's counsel's assurance; verify by direct search of the Durham County Registry. Also require an opinion of Borrower's counsel on the enforceability and scope of the recorded restriction, since a restriction that is not properly recorded may not run with the land.

Draft reference: § 3.1(j); § 10.2(d); Exhibit H ¶ 6; Exhibit F.

Issue 24 — The Scope of the Residential Use Restriction Has Not Been Established

Severity: Critical.

Sources: Phase I ESA § 7 Condition 2 and § 8.5 (the restriction limits the ~0.38-acre area to non-residential use; "any change in land use to residential or other sensitive use … would require additional investigation and/or remediation … and a modification to this NFA determination"); Phase I ESA § 8.5 and Recommendation 1 ("The consultant did not independently verify whether any residential units would be positioned directly above the affected 0.38-acre area … this determination requires a detailed overlay of the proposed building floor plans with the environmental delineation map"; the client "should verify the spatial relationship"); Credit Memorandum §§ 8.2 and 9.5 ("the current project plans position 14 residential units in the building structure directly above this area at the podium level and upper floors"); Appraisal § 8 ("The appraiser has not adjusted the valuation conclusions to account for any potential impact of the NFA use restriction on the residential unit mix or leasability of units positioned above the restricted area"; "expresses no opinion as to the legal permissibility of the planned residential use").

Finding. The Credit Memorandum treats the spatial conflict as established. The Phase I ESA — the only document that examined the question — expressly declines to conclude anything and recommends that the overlay be performed. The number "14" in the Credit Memorandum corresponds exactly to the number of three-bedroom units in the Project (142 one-bedroom, 56 two-bedroom, **14 three-bedroom**); it appears that the unit count has migrated into the environmental analysis without any spatial finding behind it.

The Credit Memorandum's quantification is arithmetically correct but built on that unverified premise: 14 units × $2,245 × 12 = **$377,160** of annual revenue; NOI would fall from $4,876,800 to **$4,499,640**; DSCR would fall from 1.31x to **1.21x**, below the 1.25x minimum. If the CC&R assessment omission (Issue 29) is added on top, NOI is $4,465,140 and DSCR is **1.20x**.

We make three further observations. First, the restriction is a **land use** restriction on a defined area; whether it prohibits residential occupancy of floors built *above* that area, with a functioning vapor mitigation system, is a legal and regulatory question that requires NCDEQ's written position, not an inference. Second, the NFA letter's condition 1 requires the vapor mitigation system beneath "any enclosed structure" over the affected area — which implies that enclosed structure over the area was contemplated, but does not resolve occupancy type. Third, even if NCDEQ permits residential occupancy, the Appraiser has not adjusted value, so the $72,800,000 and $76,200,000 values on which the LTV ratios depend expressly ignore the issue.

Recommendation. (a) Require the Project Architect to deliver a **certified overlay** of the floor plans (levels 2–6) on the Phase II delineation, identifying every unit and every occupied space within or above the Environmental Restricted Area and stating the unit count. (b) On the basis of the overlay, require one of the three resolutions in Draft § 3.1(k): an NCDEQ modification permitting residential use; redesign eliminating residential occupancy of the affected area; or a written NCDEQ determination that the restriction does not extend to enclosed structures above the affected area where the vapor mitigation system operates. (c) At the Bank's election, permit closing and defer the resolution to a condition of advances for construction in the affected area (Draft § 10.6). (d) Correct the Credit Memorandum's § 8.2 and § 9.5 to record that the spatial relationship is **unverified**, and restate the DSCR sensitivity as a range rather than a finding. (e) Require the environmental consultant to review the architect's overlay and confirm it.

Draft reference: § 3.1(k); § 10.2(b); § 10.6; § 10.9; § 5.7(e); definition of "Environmental Restricted Area" in § 1.1.

Issue 25 — The NFA Conditions and Their Deadlines Are Not Carried into the Loan Documents

Severity: High.

Sources: Phase I ESA § 7 (four conditions: vapor mitigation system with as-builts and performance verification to NCDEQ within **90 days of completion of the building foundation**; non-residential use restriction; NCDEQ-approved soil management plan before any subsurface disturbance; deed notice within 60 days); Term Sheet § 17 (mentions only the vapor mitigation system); Credit Memorandum § 10.3 (mentions the vapor mitigation system and general environmental compliance).

Finding. The Term Sheet's environmental covenant addresses one of four conditions. It says nothing about the land use restriction as a covenant, nothing about the deed notice, nothing about the soil management plan, and nothing about the 90-day as-built/verification deadline. The Credit Memorandum adds the use restriction (as a closing condition) but not the operational covenants. There are therefore no enforceable documentary obligations covering three of the four NFA conditions, one of which (the soil management plan) must be in place **before** any excavation in the affected area — work that will occur during the construction period.

Recommendation. Article X of the Draft carries all four conditions as continuing covenants, together with (a) the as-built and performance verification deadline, (b) a prohibition on subsurface disturbance without an approved soil management plan, (c) an obligation to deliver all NCDEQ correspondence within ten business days, (d) an annual compliance certification, and (e) an Event of Default for non-compliance (Draft § 14.1(n)). The Bank should also require Borrower to deliver the NCDEQ-approved soil management plan and the vapor mitigation system design as **closing** deliverables (Draft § 3.1(j)), not as construction-period items, because the

soil management plan governs the very first excavation in the affected area and the vapor system must be designed into the foundation.

Draft reference: Article X; § 3.1(j); § 14.1(n); Exhibit E Part 2.

Issue 26 — Remediation Quantities and Costs Are Stated Inconsistently

Severity: Low (but a useful diagnostic).

Sources: Appraisal § 8 (approximately **320** cubic yards of petroleum-impacted soil); Credit Memorandum § 8.2 (approximately **340** cubic yards); Phase I ESA § 6.1 (approximately **1,200** cubic yards, with excavation to approximately 12 feet below grade); Phase I ESA § 6.3 (remediation cost approximately **$485,000**); Appraisal § 6.1 (demolition and remediation "cost approximately **$680,000**"); Draw Schedule Detailed Budget line 3.05 (Environmental & Geotechnical, $185,000, for "Phase I, Phase II, remediation monitoring, geotech").

Finding. Three different volumes for the same excavation (320 / 340 / 1,200 cubic yards — a factor of nearly four). Two different costs ($485,000 / $680,000, the latter apparently including demolition). The budget carries $185,000, which is less than the remediation cost alone, but the remediation was completed in September 2024 and is a past cost, so it is presumably embedded in the land basis rather than in the forward budget — a point neither document states.

The volume matters because it is the best available proxy for whether the remediation was complete. The Phase I ESA explains that contamination above residential standards remains in situ at depths of 10 to 14 feet along the eastern boundary "where excavation was limited by the proximity of the adjoining property and critical underground utility infrastructure" — so excavation was **partial by design**, not by accident. That is consistent with the NFA determination and the use restriction, but it should be documented accurately.

Recommendation. Obtain the Phase II report and the remediation completion report (Issue 27) and take the figures from primary documents. Correct the Appraisal and Credit Memorandum summaries. Do not finalize Exhibit E of the Loan Agreement until the volumes and costs are confirmed.

Draft reference: Exhibit E Part 1 (table, with the inconsistency flagged).

Issue 27 — Environmental Document Gaps and Reliance

Severity: High.

Sources: Phase I ESA (cover page; § 5 note; § 11; Appendix list); Credit Memorandum § 13 (diligence table).

Finding. Four gaps:

(a) **The Phase II report is not in the record.** The Phase I ESA refers to it as a separate engagement (Sentinel Project No. **SEC-2024-1089**, dated August 30, 2024) and summarises its results "for reference and completeness." The Bank's environmental condition (Term Sheet § 11; Credit Memorandum § 10.1.7) requires

"related Phase II investigation results." A lender should not close on a summary of a Phase II in a Phase I. Obtain the report.

(b) **The NFA letter is not in the record.** Its terms are known only through the Phase I ESA's summary (§ 7). Obtain the letter itself, with Site ID IHSB-24-1203 / Incident No. NONUST-24-0847.

(c) **No Phase II reliance letter.** The Phase I ESA refers to a reliance letter for the Bank dated October 28, 2024 (Appendix G). There is no equivalent for the Phase II. Without reliance, the Bank cannot sue the consultant on the Phase II.

(d) **Phase I shelf life.** Under 40 C.F.R. § 312.20(c) the Phase I ESA (October 28, 2024) has a 180-day shelf life expiring **April 26, 2025**. A February 28, 2025 closing is inside the window; a closing after that date requires an update to preserve All Appropriate Inquiries protection — which matters directly to the Bank's CERCLA secured-creditor and bona fide prospective purchaser positions. Given the open items in Section 8, a delay past April 26, 2025 is a realistic possibility.

Recommendation. Make the Phase II report, the NFA letter and both reliance letters closing deliverables, and add a condition requiring an updated Phase I if closing occurs after April 26, 2025 (Draft § 6.16). Consider requiring the reliance letters to name the Bank's successors and assigns, since the Loan may be participated or assigned.

Draft reference: § 3.1(j); § 6.16.

Part E — Construction Schedule and Completion

Issue 28 — Substantial Completion Is Projected Three Days After the Construction Maturity Date, and Draw 9 Falls After Maturity

Severity: High.

Sources: Term Sheet § 2 (Projected Substantial Completion: **August 31, 2027**); § 3.2 (construction period 30 months; target closing February 28, 2025; Construction Maturity Date **August 28, 2027**); § 7.1 (Completion Guaranty requires lien-free completion "on or before the Construction Maturity Date of August 28, 2027"); Appraisal § 3 (projected substantial completion August 31, 2027; as-completed value effective August 31, 2027); Draw Schedule, "Draw Schedule" worksheet (Draw 8 — Substantial Completion / TCO — estimated **August 2027**; Draw 9 — Retainage Release — estimated **October 2027**); Credit Memorandum § 9.6 (acknowledges "only three days").

Finding. We verified the date arithmetic, which is internally consistent: February 28, 2025 + 30 months = **August 28, 2027**; + 12 months = **August 28, 2028**; + 6 months = **February 28, 2029**. The problem is not the arithmetic but the sequence. The project is scheduled to achieve Substantial Completion on **August 31, 2027**, three days after the Construction Maturity Date and three days after the date on which the Guarantors must have achieved lien-free completion under the Completion Guaranty. The Completion Guaranty is therefore in default on the day the construction loan matures, on the project's own schedule, with zero float.

The Credit Memorandum ¶ 9.6 recognises the three-day gap and treats the mini-perm period as the buffer. That is a fair observation about the **Loan** — the Loan does not mature until August 28, 2028 — but it does not address the **Completion Guaranty** or the construction-period covenants, which both key off August 28, 2027. As drafted, the Term Sheet requires the Guarantors to guarantee completion by a date on which, on the Project's own schedule, completion has not yet occurred.

Two further timing defects:

- **Draw 8** is scheduled in **month 30** of a 30-month construction period — that is, at the very end, with substantial completion. There is no margin for a single day of delay between the final construction advance and maturity.
- **Draw 9** (retainage release) is scheduled for **October 2027**, after the Construction Maturity Date, which means the retainage is released during the Mini-Perm Period. The Term Sheet describes Draw 9 as a construction-period draw with a "Post-CO" milestone, and the Retainage is security for lien claims arising during construction. Releasing it after maturity is not necessarily wrong, but it should be deliberate, and the Loan Documents should say what happens if retainage conditions are not satisfied until after maturity.

Recommendation. (a) Add a tolerance: require completion within **thirty (30) days after** the Construction Maturity Date in the Completion Guaranty (Draft § 13.1), and consider whether the Construction Maturity Date should instead be

defined as the date 30 months after the actual Closing Date so that a delayed closing does not compress the construction period (Issue 42). (b) Re-phase the construction schedule so that Substantial Completion is targeted at least 60 days before the Construction Maturity Date; if that is not achievable, the Bank should consider extending the construction period rather than relying on the mini-perm as completion float. (c) Address the post-maturity retainage release expressly. (d) Obtain the General Contractor's current critical-path schedule under the GMP contract before the milestones in Exhibit D are fixed; the dates in the record are the developer's, not the contractor's.

Draft reference: § 6.2(b); § 13.1; § 4.3; Exhibit C ¶ 5; Exhibit D.

Part F — Financial Covenants, Guaranties and Reporting

Issue 29 — The CC&R Assessment Is Omitted from Net Operating Income and from Both Valuations

Severity: Medium.

Sources: Title Commitment Schedule B–II ¶ 11(b) (assessment obligations for common areas and district-wide improvements "currently assessed at a rate of **$0.12 per square foot of gross building area per annum**, subject to annual adjustment"); Appraisal § 7 (operating expenses of $1,262,100 — nine line items, none of which is an association assessment; the largest "other" item is $30,038); Term Sheet § 4 and Credit Memorandum § 6.3 (NOI $4,876,800 carried forward without adjustment).

Finding. The Property is subject to a mandatory annual assessment of $0.12 per square foot of gross building area under the Brightleaf Historic District Association Declaration. At 287,500 square feet of gross building area that is **$34,500 per annum**, and it is *not* among the Appraiser's nine operating expense line items — the aggregate "Other Operating Expenses" line is only $30,038, less than the assessment itself. The Appraiser either overlooked the recorded Declaration or treated the assessment as immaterial.

The effect is quantifiable:

- NOI: $4,876,800 − $34,500 = **$4,842,300**.
- DSCR at 7.85% on $47,500,000: $4,842,300 ÷ $3,728,750 = **1.2986x** (from 1.31x). Still above 1.25x, but the cushion is thinner than reported.
- As-stabilized value at the Appraiser's own 6.40% capitalization rate: $4,842,300 ÷ 0.064 = **$75,660,900** (from $76,200,000).
- As-stabilized LTV: $47,500,000 ÷ $75,660,900 = **62.78%** (from 62.34%).

None of these changes a conclusion by itself. But a $34,500 recurring expense omitted from NOI is exactly the sort of item that a buyer, an appraiser or an expert will identify in a later dispute, and its existence tells the Bank something about the reliability of the operating expense analysis.

Recommendation. Ask the Appraiser for a written confirmation of whether the assessment was considered and, if not, for a revised expense analysis. Add the assessment to the Loan Agreement's Net Operating Income definition so that covenant compliance and the DSCR/Debt Yield tests capture it (Draft § 8.8(c)(v)). Do not represent the as-stabilized value as $76,200,000 in the credit file without a note.

Draft reference: § 8.8(c)(v) and its drafting note.

Issue 30 — The DSCR Covenant Is Tested on a Basis That Cannot Be Satisfied, and There Is No Debt Yield Test

Severity: High.

Sources: Term Sheet § 6.3 ("The DSCR shall be tested at the commencement of the Mini-Perm Period and annually thereafter based on actual trailing twelve-month net operating income"); Appraisal § 6.3 (stabilization projected for approximately **May 2028**, nine months after August 31, 2027 completion); Term Sheet § 3.2 (Mini-Perm Period commences **August 29, 2027**); Credit Memorandum § 6.1 (DSCR 1.31x computed on stabilized NOI; stress case 1.04x at +200 bps); § 9.8 (recommends an interest rate cap).

Finding. The covenant requires DSCR ≥ 1.25x measured on **actual trailing twelve-month NOI**, first tested **at the commencement of the Mini-Perm Period**, which is August 29, 2027. At that date the Project will have completed construction two days earlier and will not have been stabilized: the Appraiser projects stabilization in **May 2028**, nine months later. Trailing twelve-month actual NOI at August 2027 would reflect a project in early lease-up — possibly very little revenue at all, since certificates of occupancy would only recently have issued. The covenant, as written, is close to guaranteed to fail on its first test date. That is not a credit protection; it is a default waiting to happen, which is useful to neither party and damaging to the Bank if it must decide whether to enforce.

The absence of any rate-insensitive coverage test compounds the problem. The single coverage metric in the Term Sheet moves inversely with SOFR, and the Credit Memorandum's own stress test shows 1.04x at +200 basis points (§ 6.1) — a fail. There is no debt yield test, so the Bank has no measure of the Loan against the property's income capacity that is independent of the interest rate.

Recommendation. (a) Test DSCR at the commencement of the Mini-Perm Period on a **stabilized** basis (underwritten NOI adjusted for actual leasing status, or trailing three-month annualized in-place NOI with a lease-up adjustment), and move the first actual T-12 test to twelve months after the final certificate of occupancy. (b) Add a **Debt Yield** covenant of not less than 8.50% (Draft § 8.4), tested on the same dates — on the Appraiser's NOI that is $4,876,800 ÷ $57,373,000, i.e., it permits roughly the current senior balance with a modest cushion. (c) Require an interest rate cap at the commencement of the Mini-Perm Period, not only as an extension condition, given the 1.04x stress result (Draft § 2.14). (d) Retain the curtailment/cash-collateral cure in Term Sheet § 6.3.

Draft reference: § 8.3 (with drafting note); § 8.4; § 2.14.

Issue 31 — Borrower's Stated Net Worth of $14,200,000 Cannot Be Reconciled, and the $12,000,000 Covenant Fails on Day One

Severity: High.

Sources: Term Sheet § 6.4 (net worth $12,000,000, tested annually; "current net worth of the Borrower is approximately $14,200,000, based on financial statements provided to the Lender"); Credit Memorandum § 2.1 (same, with "a cushion of approximately $2,200,000 above the covenant minimum"); Organizational Chart § 1.1 (same, "based on the book value of its assets and liabilities as of the most recent reporting period"); Title Commitment Schedule A ¶ 5 (Property acquired at $8,200,000); Title Commitment Schedule B–II ¶ 10 (Prior Deed of Trust securing $3,400,000); Organizational Chart § 1.3 (borrower's only asset is the land; no member has contributed cash other than the land).

Finding. We cannot reconstruct a $14,200,000 net worth from any balance sheet disclosed in the record. Borrower's stated asset is the Property, acquired for **$8,200,000**. Its stated liability is the **$3,400,000** Prior Deed of Trust (original principal; the title officer notes counsel's advice that it was "partially repaid"). That balance sheet yields net worth of approximately **$4,800,000** at cost, or **$5,500,000** if the land is carried at its $8,900,000 appraised value. The gap to the asserted $14,200,000 is between **$8.7 million and $9.4 million**, and no document in the record explains it. There is no other asset disclosed; no member has contributed cash beyond the land; and the Borrower is represented to be a single-purpose entity holding nothing else.

The consequence is not merely a documentation problem. The proposed covenant requires net worth of not less than **$12,000,000**, tested annually. On the balance sheet the record actually supports, Borrower would be in breach of that covenant at the Closing Date and at every test date thereafter: post-closing, Borrower's assets and liabilities increase roughly dollar-for-dollar with each Loan and Mezzanine Loan advance, so debt-funded construction does not build net worth. The completion guaranty and the Carry Guaranty exist to address exactly this, but a covenant that is breached from inception is worse than no covenant — it hands the Borrower an argument that the Bank waived it, and it gives the Borrower a basis to resist enforcement.

Recommendation. (a) Obtain Borrower's complete financial statements, with a schedule reconciling the $14,200,000 to specific assets and liabilities, and verify the largest items. Do not accept the assertion. (b) Once reconciled, redefine the covenant so that it measures something the Borrower can actually maintain. Options, in order of preference: (i) a net worth test that excludes debt-funded construction in progress and permits the Property to be carried at appraised value; (ii) a **liquidity** covenant on Borrower (e.g., Available Cash of not less than a stated amount) which is more meaningful for a single-asset SPE; or (iii) deletion of the covenant in favour of the guarantor covenants, on the basis that the Borrower is an SPE with no independent capacity to cure. (c) Whichever route is taken, require an

initial compliance certificate at closing that demonstrates compliance with the covenant **as defined**.

Draft reference: § 8.5 and its drafting note; § 3.1(p); § 5.9; Exhibit I.

Issue 32 — There Is No Guarantor Net Worth Covenant, and Term Sheet § 15 Cross-References the Wrong Section

Severity: Medium.

Sources: Term Sheet § 6.4 (Borrower net worth $12,000,000); § 6.5 (Guarantor liquidity $5,000,000); § 15, final bullet ("Any Guarantor's net worth falls below the minimum threshold set forth in Section 6.4"); Credit Memorandum § 2.3 (net worth profile of each Guarantor; § 2.3.3 analyses guaranty exposure as a percentage of net worth) and § 10.3 (ongoing covenants — net worth for Borrower, liquidity for Guarantors, no Guarantor net worth covenant).

Finding. Term Sheet § 15 makes it an Event of Default if "any Guarantor's net worth falls below the minimum threshold set forth in Section 6.4." Section 6.4 sets the **Borrower's** net worth covenant. There is no Guarantor net worth covenant anywhere in the Term Sheet. The cross-reference is a drafting error, and it leaves the corresponding Event of Default without content.

The omission also sits oddly with the Credit Memorandum's own analysis. Section 2.3.3 computes each Guarantor's partial repayment exposure as a percentage of personal net worth — approximately **39.8%** for Ms. Vasquez-Torres ($11,875,000 ÷ $29,800,000 = 39.85%) and approximately **103.3%** for Mr. Osei ($11,875,000 ÷ $11,500,000 = 103.26%) — and expressly notes that Mr. Osei's exposure exceeds his net worth and depends on illiquid real estate. Having identified guarantor net worth as a live risk, the credit document contains no covenant that protects it.

Recommendation. Either insert a Guarantor net worth covenant — we suggest 75% of the net worth shown in the most recent personal financial statement (approximately **$22,350,000** for Ms. Vasquez-Torres and **$8,625,000** for Mr. Osei) — or delete the Event of Default. We prefer the former, and would add a requirement that each Guarantor's real estate holdings be valued at not more than a stated percentage of net worth or that the Bank receive an updated appraisal summary of the Guarantors' principal real estate assets annually. If the Bank prefers not to impose a net worth test, the liquidity covenant (Term Sheet § 6.5, $5,000,000 combined) should be increased, since $5,000,000 against a $11,875,000 guaranteed amount is a thin cushion.

Draft reference: § 8.7 and its drafting note; § 14.1(p)–(q).

Issue 33 — The Partial Repayment Guaranty Is Either 25% of the Loan in the Aggregate or $11,875,000 Per Guarantor

Severity: High.

Sources: Term Sheet § 7.3 ("a partial repayment guaranty … in the amount of **25% of the Loan Amount** (25% × $47,500,000 = $11,875,000). The Partial

Repayment Guaranty shall be joint and several, meaning that each Guarantor shall be individually liable for the full guaranteed amount"); Credit Memorandum § 2.3.1 and § 2.3.2 ("a 25% partial repayment guaranty (25% × $47,500,000 = **$11,875,000**)" for **each** Guarantor); § 4.3 ("Each guarantor will provide a 25% partial repayment guaranty — 25% of the loan amount of $47,500,000 = **$11,875,000 per guarantor**").

Finding. The Term Sheet and the Credit Memorandum describe different guaranties.

- **Term Sheet reading:** a single $11,875,000 obligation (25% of the Loan), joint and several, with each Guarantor liable for the full $11,875,000. Aggregate exposure: **$11,875,000**.
- **Credit Memorandum reading:** $11,875,000 **per guarantor**. Aggregate exposure: **$23,750,000**, or 50% of the Loan.

The difference is $11,875,000 of recourse. The Credit Memorandum's § 2.3.3 analysis — exposure at 39.8% and 103.3% of net worth — uses the per-guarantor figure, which is why Mr. Osei's exposure appears to exceed his net worth. Under the Term Sheet reading his exposure would be 103.3% of net worth only if he were liable for the whole amount as a joint and several obligor, which is what the Term Sheet actually provides.

We note that the Term Sheet's formulation ("joint and several, meaning that each Guarantor shall be individually liable for the full guaranteed amount") is itself internally awkward: if the guaranteed amount is $11,875,000 and each is liable for the full $11,875,000, then the aggregate is $11,875,000, and the sentence's purpose is to make clear there is no pro-rata limitation — not to double the obligation.

Recommendation. Confirm the Term Sheet reading — 25% of the Loan in the aggregate, joint and several — and document it with an express sentence: "The Guaranteed Amount is a single obligation of the Guarantors in the aggregate; each Guarantor is jointly and severally liable for the entire Guaranteed Amount, and the Guaranteed Amount shall not be multiplied by the number of Guarantors." Borrower will likely argue for the per-guarantor reading on the strength of the Credit Memorandum; the Bank must not leave the ambiguity in the document. **Draft § 13.3 is drafted on the Term Sheet reading and the point must be raised with the Bank before circulation** — this is a commercial term, not a drafting choice, and we should not settle it for the Bank.

Draft reference: § 13.3 and its drafting note.

Issue 34 — The Carry Guaranty Covers Different Periods in the Two Documents

Severity: Medium.

Sources: Term Sheet § 7.2 (Guarantors "guarantee the payment of interest and other carrying costs on the Loan **during the term of the Loan**"; applies after the Interest Reserve is exhausted or is insufficient); Credit Memorandum § 4.3

("guarantee payment of all carrying costs **during the construction period**, including monthly interest payments, real estate taxes, insurance premiums, and other carrying expenses").

Finding. The Term Sheet covers the whole term (construction and mini-perm); the Credit Memorandum covers the construction period only. During the Mini-Perm Period there is no interest reserve and no coverage under the narrower reading, so the Guarantors' carry obligation would terminate exactly when the Project is in lease-up, the interest reserve is gone, and the risk of a payment default is highest — and the Credit Memorandum's own DSCR analysis (Issue 30) shows the coverage margin is thin and rate-sensitive. The Property's real estate taxes and insurance are also "carrying costs" whose scope should be stated.

Recommendation. Adopt the Term Sheet formulation and state expressly that it extends to the Mini-Perm Period and any extension, and that it covers interest, real estate taxes, insurance premiums and other carrying costs. The Draft does so (§ 13.2). If the Bank intended the narrower scope, this needs to be resolved before circulation, since it is an expansion of the Guarantors' exposure relative to the Credit Memorandum's description.

Draft reference: § 13.2 and its drafting note.

Issue 35 — Reporting Requirements Differ Between the Term Sheet and the Credit Memorandum

Severity: Low.

Sources: Term Sheet §§ 13, 21.1; Credit Memorandum § 10.3; § 7.2.

Finding. The two lists are similar but not identical. Examples: the Term Sheet requires monthly construction progress reports within fifteen days of month end (§ 21.1) while the Credit Memorandum sets no deadline (§ 7.2); the Term Sheet requires **quarterly unaudited** Borrower financial statements (§ 21.1) which the Credit Memorandum omits; the Credit Memorandum requires a **budget reconciliation** with each draw (§ 7.2) and an **interest reserve reconciliation** monthly (§ 6.2) which the Term Sheet contains only in part; the Credit Memorandum requires a certification of the AIA G702/G703 forms, the Term Sheet does not.

Recommendation. Consolidate into a single schedule. The Draft does so at Exhibit F, taking the more demanding of each requirement in each case (which is the Bank's interest, and which is the only reading consistent with both documents). Borrower may push back on items that appear only in the Credit Memorandum (which Borrower has not seen); where an item is genuinely new, the Bank should either waive it or press it expressly.

Draft reference: Exhibit F; § 6.10.

Issue 36 — Extension Conditions Are Not in the Term Sheet, and the Proposed DSCR Test Is Below the Covenant

Severity: High.

Sources: Term Sheet § 3.2 (one 6-month extension "subject to satisfaction of customary conditions to be determined and set forth in the definitive Loan Agreement"); Credit Memorandum § 11 (proposed conditions (a) through (j)); § 6.3 (1.25x DSCR covenant); § 11(d) (1.15x DSCR extension condition).

Finding. The Term Sheet delegates the extension conditions to the Loan Agreement, so the Bank is entitled to set them — but Borrower has not agreed to any of them, and several are material: a 0.25% extension fee (not in the Term Sheet), a 75% occupancy requirement, a 1.15x DSCR, an updated appraisal with a 70% LTV cap (above the Term Sheet's 65%), an interest rate cap, and a pollution legal liability policy.

Two specific defects. First, the **1.15x** DSCR condition sits **below** the 1.25x continuing covenant. Borrower could satisfy the extension condition while in breach of the covenant, or the covenant would have to be suspended during the extension — neither of which is coherent. Second, the **70% LTV** cap in condition (h) contradicts the Term Sheet's 65% maximum; on an updated appraisal the Bank should not accept more leverage on extension than it accepted at closing.

Recommendation. Conform the extension DSCR condition to **1.25x**, or keep 1.15x but require a principal curtailment or cash collateral to bring coverage to 1.25x at the time of extension (Draft § 8.3(b) already provides the mechanism). Conform the LTV cap to **65%**. Present the full list to Borrower as the Bank's proposed conditions and flag clearly which are not in the Term Sheet. Expect Borrower to resist the extension fee and the pollution legal liability policy in particular; both are defensible but should be presented as Bank requirements rather than as term sheet terms.

Draft reference: § 2.13; Exhibit G and its drafting note under ¶ (d) and ¶ (h).

Part G — Entity, Governance and Intercreditor

Issue 37 — The Operating Agreement's 75% Supermajority Gives the Mezzanine Lender's Affiliate a Veto Over the Loan Itself

Severity: Critical.

Sources: Organizational Chart § 1.2 (membership: Elena Vasquez-Torres 62%; Brightleaf Investors Group LLC 28%; Reginald K. Osei 10%); § 2.2 (Operating Agreement § 3.1: Managing Member's capital expenditure authority capped at $500,000 individually; § 3.2: the following require approval of members holding at least **75%**: "(a) any sale, transfer, or encumbrance of all or substantially all of the Company's assets; (b) any financing or refinancing of the Property in a principal amount in excess of $1,000,000; (c) the admission of any new Member; (d) any amendment to this Operating Agreement; (e) any voluntary dissolution … or the filing of any petition for relief under any federal or state bankruptcy or insolvency law"); § 2.5 (Operating Agreement § 9.1: no member may pledge its interest without approval of the Managing Member and members holding at least 75%); § 1.2 and Credit Memorandum § 2.2 and § 4.4 (Thomas R. Chen is the Managing Member of both Brightleaf Investors Group LLC, a 28% member, and Brightleaf Mezzanine Capital LLC, the Mezzanine Lender).

Finding. The Organizational Chart itself does the arithmetic and states the conclusion: Ms. Vasquez-Torres (62%) plus Mr. Osei (10%) = **72%**, which is **below the 75% threshold**, so "Brightleaf Investors Group LLC holds an effective veto right over major decisions, as no combination of the other two members alone can reach the required supermajority."

Applied to this transaction, the consequence is significant and does not appear to have been addressed anywhere in the credit file:

1. **The Loan itself requires 75% approval.** Operating Agreement § 3.2(b) requires 75% approval for "any financing or refinancing of the Property in a principal amount in excess of $1,000,000." The $47,500,000 Loan is such a financing. Brightleaf Investors Group LLC's consent is therefore a condition of the Borrower's own authorization.
2. **The Membership Interest Pledge requires the same consent.** § 9.1 requires Managing Member approval *and* 75% approval for any pledge of a membership interest. The Bank's first-priority pledge of 100% of the membership interests cannot be granted without Brightleaf's consent.
3. **The SPE amendment and the independent manager require it too.** § 3.2(d) requires 75% approval for any amendment to the Operating Agreement (Issue 38).
4. **Every major decision during the life of the Loan will require it** — including a sale or refinancing at maturity, and any "encumbrance of all or substantially all of the Company's assets."

So the affiliate of the subordinated lender, which is also a 28% equity holder, holds a blocking position over: the senior Loan, the senior lender's collateral, the SPE amendment the senior lender requires, and the take-out sale or refinancing on

which the senior lender's repayment depends. That is a structural conflict the Bank should address expressly, and it is not addressed in the Term Sheet or the Credit Memorandum, which discuss the affiliate relationship only in terms of substantive consolidation risk (Credit Memorandum § 9.3).

Recommendation. (a) Require a **unanimous written consent of all members** (100%), not merely the 75% required by the Operating Agreement, expressly authorizing the Loan, each Loan Document, the Membership Interest Pledge, the Deed Notice, the SPE amendment, the Independent Manager appointment and the Intercreditor Agreement (Draft § 3.1(d)). (b) Require an amendment to Operating Agreement § 3.2 that carves out from the 75% requirement all matters expressly approved by the members in the closing consent and all actions taken by the Bank in the exercise of its remedies, so that the Bank is not required to obtain a consent from an affiliate of the subordinated lender in order to enforce its own collateral. (c) Obtain Borrower's counsel's written confirmation that the consents delivered satisfy §§ 3.2 and 9.1 as in effect on the Closing Date. (d) Consider requiring, as a condition to any extension or to any refinancing of the Mezzanine Loan, that the 75% threshold be reduced to a simple majority, so that Brightleaf cannot block the take-out.

Draft reference: § 3.1(d); § 3.1(e); § 16.5; signature page (member acknowledgment and consent).

Issue 38 — The SPE Amendment and the Independent Manager Requirement Depend on the Same 75% Consent, and the Operating Agreement Has None of the Required Provisions

Severity: High.

Sources: Organizational Chart § 1.1 and § 2.2 ("The Operating Agreement, as currently in effect, does not contain any provision requiring the appointment of an independent director or independent manager … There are no separateness covenants … no prohibition on commingling of funds with affiliates, and no requirement that the Company obtain a non-consolidation opinion"); Term Sheet § 20; Credit Memorandum §§ 2.1, 9.3, 10.1.4.

Finding. The Credit Memorandum correctly identifies the need for SPE covenants, an independent manager and a non-consolidation opinion, and makes them conditions of closing. But the Operating Agreement lacks all of them, so they can only be obtained by amendment — and any amendment requires 75% approval (Issue 37), which means Brightleaf must consent to the very protections designed to address the risk that Brightleaf's affiliate creates. The Organizational Chart confirms the current position in terms, and its certification is both undated and unsigned.

There is a further practical point the Credit Memorandum does not address: an independent manager must be **identified and appointed** before closing, not merely provided for. The Bank should interview and approve the individual, confirm independence in writing, and confirm the person will serve. A requirement in an operating agreement that nobody has agreed to perform is not a protection.

Recommendation. (a) Require the amended and restated operating agreement as a closing deliverable, in a form the Bank's counsel has reviewed (not merely "as amended for SPE covenants"). (b) Obtain the 100% member consent described in Issue 37. (c) Require evidence of the Independent Manager's appointment, a signed independence certificate, and a consent to act, together with a side letter acknowledging the Bank's rights under the Loan Documents. (d) Consider requiring a special purpose, bankruptcy-remote entity as the Independent Manager (a common institutional solution), so that the protection does not depend on a natural person's continued willingness to serve. (e) Require the non-consolidation opinion to be **reasoned**, addressed to the Bank, and re-delivered (or brought down) on the occurrence of any bankruptcy of a Related Entity.

Draft reference: § 3.1(e); § 9.2; § 9.3; § 9.4; § 14.1(p).

Issue 39 — The Two 100% Membership Interest Pledges Cannot Both Be First Priority, and the Intercreditor Agreement Is Not Executed

Severity: Critical.

Sources: Term Sheet § 1.4 (Mezzanine Loan "secured by a pledge of 100% of the membership interests in the Borrower") and § 8 (senior collateral includes a "Pledge of 100% of membership interests in the Borrower by all members"); Credit Memorandum § 4.2 (identifies the conflict and proposes that the senior lender hold the first-priority pledge and the mezzanine lender the second-priority pledge) and §§ 9.4, 10.1.3; Organizational Chart § 1.2 and § 2.5 (mezzanine pledge exists; Operating Agreement provides no mechanism to resolve competing pledges); Credit Memorandum § 4.4 and § 10.1.3 (intercreditor agreement "currently in the process of being negotiated … but has not yet been executed").

Finding. The Credit Memorandum identifies this correctly: only one lender can hold a first-priority security interest in the same collateral, and as documented the two pledges are mutually exclusive as first-priority interests. The Credit Memorandum's proposed resolution — senior first, mezzanine second, with a 90-day standstill, cure rights, a purchase option, and bankruptcy protections — is the right answer and is what we have drafted (Draft § 16.3).

The issue is timing and enforceability. The intercreditor agreement is not executed, and it is the mechanism by which the Bank's collateral position is created. If the Loan closes first and the intercreditor agreement follows, the Bank may hold a first-priority pledge of membership interests from three pledgors while the mezzanine lender holds a competing 100% pledge; priority then turns on UCC filing sequence and, for a security interest in a certificated or uncertificated LLC interest, on control — which for LLC interests means the applicable UCC Article 8 or 9 control mechanics and, in practice, a control agreement or possession of the certificates if the interests are certificated. Filing sequence alone may not resolve priority, and the Operating Agreement's silence on competing pledges (Organizational Chart § 2.5) means there is no contractual priority.

Note also that the Credit Memorandum's own description of the Mezzanine Loan's collateral is inconsistent with the sources and uses: a pledge of membership

interests is not a mortgage on the Property, so the mezzanine lender would be lending $9,200,000 against an equity pledge while its own proceeds fund the land (Issue 5). That is a structure question about the mezzanine lender's position, not the Bank's, but it bears on how the mezzanine lender will behave in a workout.

Recommendation. Treat the executed intercreditor agreement as an **unwaivable** closing condition (Draft § 3.1(c)), as the Credit Memorandum itself requires ("may not be waived," § 4.4). Confirm in the intercreditor agreement: (a) express subordination of the mezzanine pledge; (b) the Bank's first-priority position in both the real property collateral and the membership interests; (c) the 90-day standstill; (d) the purchase option at par plus accrued; (e) the prohibition on amending the mezzanine documents without the Bank's consent; (f) the bankruptcy filing prohibition and non-interference covenant; and (g) an express acknowledgment of the Thomas R. Chen common control. Also confirm whether the membership interests are certificated and, if so, obtain the certificates and undated stock (membership interest) powers; if uncertificated, obtain a control agreement from Borrower as issuer or a UCC-1 filing plus the issuer's acknowledgment. Finally, confirm that the Operating Agreement amendment described in Issue 37 removes any consent requirement that would impede the Bank's exercise of remedies against the pledged interests.

Draft reference: § 3.1(c) (non-waivable); § 12.2; § 16.2; § 16.3; § 6.13; § 7.8.

Part H — Legal, Documentation and Open Items

Issue 40 — North Carolina Law Considerations

Severity: Medium.

Sources: Credit Memorandum § 4.3 ("North Carolina is a judicial foreclosure state and … deficiency judgments following foreclosure are subject to the fair price confirmation hearing requirements of N.C.G.S. § 45-21.36"); Term Sheet §§ 21.4 (North Carolina law and Durham venue), 8 (Deed of Trust), 16 (remedies); Title Commitment Note 4 (N.C.G.S. § 44A-10).

Finding. Four North Carolina points require attention before the Loan Documents are finalized, and we have drafted to each (provisions noted below), but each should be confirmed by you:

(a) **Deficiency after power of sale.** Our understanding is that North Carolina has recognized power-of-sale foreclosure since 1967 under Part 6 of Article 2A of Chapter 45 of the General Statutes (N.C.G.S. § 45-21.1 et seq.), and the Credit Memorandum's reference to "judicial foreclosure" is imprecise. The material point is that N.C.G.S. § 45-21.36 entitles the mortgagor to a credit for the fair market value of the property if it is sold for less than fair market value in a power-of-sale foreclosure, and that this credit applies in the deficiency action. The statute limits deficiency exposure in practice whenever the collateral is sold below value. We have drafted the guaranties so that (i) the Partial Repayment Guaranty is a separate payment obligation limited to the Guaranteed Amount rather than a guaranty of a deficiency, and (ii) the Completion Guaranty is an independent obligation to fund completion costs rather than a deficiency obligation. **This is the most important legal issue in the documentation and we recommend it be reviewed before the Guaranties are finalized**; the Interaction between § 45-21.36 and a "bad boy" full-recourse guaranty is not free from doubt, and the Bank should understand that its practical recourse may be to the Completion Guaranty and the Carry Guaranty rather than to a deficiency judgment.

(b) **Usury.** N.C.G.S. § 24-1.1 permits the parties to agree to any rate of interest on a loan in the principal amount of $25,000 or more. The Loan is $47,500,000. The Default Rate (contract + 5.00%) is not constrained by the 16% general limit, but we have included a savings clause (Draft § 2.11) as a matter of course.

(c) **UCC Article 9 and the pledge.** The Membership Interest Pledge must be perfected by UCC-1 filing against each pledgor (each of the three members) in the correct jurisdiction of organization, and priority over the mezzanine lender's competing pledge should be established by the intercreditor agreement rather than by filing sequence. See Issue 39.

(d) **Mechanics' lien relation-back.** N.C.G.S. § 44A-10 and the title officer's Note 4; see Issue 19(d).

Recommendation. Please confirm points (a) and (b) and, if you agree on (a), consider whether the Bank should take an additional completion-related guaranty or a limited payment guaranty sized to the expected § 45-21.36 shortfall.

Draft reference: Article XV (particularly § 15.3); § 2.11; § 12.2; § 13.4 and its drafting note.

Issue 41 — Contractor Financial Condition and Bonding Are Not a Term Sheet Condition

Severity: Medium.

Sources: Term Sheet §§ 11, 19 (closing conditions — no contractor financials or bonds); Credit Memorandum § 9.8 ("The Bank should verify the financial strength and payment and performance bonding capacity of the contractor prior to closing. Evidence of the contractor's financial statements and bonding capacity should be included in the closing deliverables"); § 13 (diligence table: GMP contract "to be reviewed by Bank's counsel and construction inspector prior to closing").

Finding. The Term Sheet does not require contractor financial statements or payment and performance bonds. The Credit Memorandum says both should be required. The GMP contract provides cost certainty but not performance security; if the General Contractor fails, the Completion Guaranty obliges the Guarantors to complete, and the contingency of $1,440,000 (4.14% of hard costs) is the only built-in buffer. There is no performance bond in the record, and it is not clear whether one is contemplated.

Recommendation. Add as closing conditions: (a) the General Contractor's audited financial statements for the two most recent fiscal years, with the Bank's credit group reviewing and approving; (b) evidence of payment and performance bonding capacity sufficient for a $34,750,000 contract, or an executed performance and payment bond; (c) the General Contractor's consent to the collateral assignment of the Construction Contract, with a direct agreement giving the Bank step-in rights; and (d) confirmation that the GMP contract contains liquidated damages for delay consistent with the construction-period milestones. Item (c) matters because a collateral assignment of a construction contract is of limited value without the contractor's acknowledgment.

Draft reference: § 3.1(n); § 6.2(c); § 12.1(d).

Issue 42 — Internal Inconsistencies in the Term Sheet

Severity: Medium.

Sources: Term Sheet, as noted below.

Finding. Five internal inconsistencies in the executed Term Sheet, each requiring a decision in documentation:

1. **Loan-to-value.** § 4 (65% as-completed) and § 6.2 (65% as-completed and as-stabilized) versus the actual ratio of 65.25%. See Issue 2.

2. **“Single advance facility.”** § 3.1 describes the Loan as “structured as a single advance facility, with loan proceeds to be disbursed in accordance with the approved draw schedule.” A nine-draw construction facility is not a single-advance facility. We read it as meaning a single commitment drawn in multiple advances, and have drafted accordingly (§ 2.1).
3. **Expense deposit.** § 22 describes the $75,000 expense deposit as “non-refundable,” and then in the same sentence provides that “if the Loan does not close for any reason, any unused portion of the expense deposit shall be returned to the Borrower, net of expenses incurred through the date of termination.” Those cannot both be true. The second sentence is the operative one; the deposit is a retainer against expenses, not a fee.
4. **Guarantor net worth cross-reference.** § 15 refers to a threshold “set forth in Section 6.4,” which is the Borrower’s covenant. See Issue 32.
5. **Extension conditions.** § 3.2 delegates them to the Loan Agreement without any parameters. See Issue 36.

Recommendation. For (1), (4) and (5) the answer lies in Amendments to the credit and the Loan Documents, not in a revised Term Sheet (the Term Sheet is executed and non-binding as to terms). For (2) and (3), treat the drafting in the Loan Documents as controlling and confirm by side letter or in the closing instruction. Note that the Term Sheet’s confidentiality, exclusivity and expense deposit provisions are expressly binding (§ 22), so (3) matters: the Bank’s entitlement to retain the deposit depends on which sentence governs. The Draft preserves those three provisions (§ 18.7).

Draft reference: § 2.1; § 18.7; § 8.2.

Issue 43 — Party, Address and Name Inconsistencies

Severity: Low.

Finding. Minor but worth correcting in execution copies, because a mismatch between the Loan Documents and the underlying third-party reports is exactly the kind of discrepancy that produces an argument about what the Bank relied on:

Item	Inconsistency
Lender’s address	Term Sheet, Credit Memorandum and Title Commitment: **215** South Tryon Street, 18th Floor, Charlotte, NC 28202. Phase I ESA cover page (“as Intended Reliance Party / Lender”): **200** South Tryon Street, 18th Floor, Charlotte, NC 28202
Title company	Aldersgate Title & Escrow Inc., but the escrow officer’s email in Note 6 is at **crestviewtitle.com**
Borrower’s counsel	Calloway & Strauss PLLC, 324 Blackwell Street, Suite 200, Durham — consistent; the Organizational Chart certification is **undated and unsigned**
Lender’s counsel name	“Ashford, Cromdale Consulting & Laine LLP” — consistent across the record; confirm the firm name is correct as it appears on the engagement letter
Borrower’s counsel in ESA	The Phase I ESA identifies Harborview as “Client” and Pinnacle as “Intended Reliance Party”; confirm the reliance letter achieves the Bank’s intended position as an intended user entitled to rely
Property description	“601 and 615 Foster Street” consistently; the Appraisal § 2 says the site “fronts Foster Street to the north” while its own frontage paragraph says “on the western boundary,” and the legal descriptions put Foster Street on the west (Issue 18)

Recommendation. Correct in the execution copies; obtain the signed and dated Organizational Chart certification; confirm the reliance letter language.

Issue 44 — Missing Documents and Open Diligence

Severity: High.

Finding. The following are required to close and are **not in the record** furnished to us. The list is the basis of Section 8.

#	Item	Source of the requirement
1	Intercreditor Agreement, executed	Term Sheet § 11; Credit Memorandum § 10.1.3
2	Amended and restated operating agreement with SPE covenants and Independent Manager	Credit Memorandum § 10.1.4
3	Non-consolidation opinion, reasoned, addressed to the Bank	Credit Memorandum § 10.1.4(b)
4	Unanimous (100%) member consent	Issue 37
5	ALTA/NSPS survey, certified; corrected legal descriptions	Term Sheet § 18; Title Commitment Sch. B–I ¶ 5
6	Recorded Deed Notice (or NCDEQ written confirmation)	NFA condition 4; Issue 23
7	NCDEQ-approved soil management plan	NFA condition 3
8	Vapor mitigation system design (licensed NC P.E.)	NFA condition 1
9	Full Phase II ESA (SEC-2024-1089) and reliance letter	Term Sheet § 11; Issue 27
10	NFA letter (full copy)	Term Sheet § 11
11	Phase I reliance letter (Appendix G to the Phase I); updated Phase I if closing after April 26, 2025	Phase I ESA § 11
12	Brightleaf Historic District ARC approval or deemed approval	Title Commitment Sch. B–II ¶ 11 Note; Issue 20
13	Payoff letter and satisfaction/release of the Prior Deed of Trust	Title Commitment Sch. B–I ¶ 4; Term Sheet § 18
14	GMP construction contract and architect’s agreement, executed; contractor’s consent to collateral assignment	Term Sheet § 11; Issue 41
15	Contractor financial statements and bonding evidence	Credit Memorandum § 9.8
16	Building permits and zoning compliance letter	Term Sheet § 11
17	Insurance certificates for all coverages in Article XI, including full-value builder’s risk	Term Sheet § 19; § 11.1
18	Current flood hazard determination	Credit Memorandum § 12; Issue 16
19	Borrower financial statements reconciling net worth of $14,200,000	Issue 31
20	Guarantor personal financial statements and two years of tax returns	Term Sheet § 11
21	Legal opinions (organization, authority, enforceability, lien priority)	Term Sheet § 11
22	Certificates of good standing; member resolutions	Term Sheet § 11
23	Appraisal — full report (187 pages) and the Bank’s internal appraisal review memorandum	Term Sheet § 11

#	Item	Source of the requirement
24	Insured Closing Letter and verified wire instructions	Title Commitment Note 3; Issue 19
25	Evidence of Independent Manager appointment and independence certificate	Issue 38
26	Source-of-funds documentation for the $2,140,000 equity escrow	Credit Memorandum § 10.1.2; Issue 5

Recommendation. Section 8 below assigns each item and a target date.

6. Reconciliation Schedules

This Section reproduces the computations on which Section 5 relies. Each figure has been re-performed from the source documents; where a document stated a result we could not reproduce, the discrepancy is shown.

6.1 Sources and Uses — As Documented, and As We Recommend

Sources	As documented	Recommended (Structure C)
Senior Loan (Pinnacle Savings Bank, N.A.)	$47,500,000	$45,360,000
Mezzanine Loan (Brightleaf Mezzanine Capital LLC)	$9,200,000	$9,200,000
Borrower equity (cash)	$0	$2,140,000
Borrower equity (land, in kind)	$0	$0
Total sources	**$56,700,000**	**$56,700,000**
Total uses (Total Project Costs)	**$56,700,000**	**$56,700,000**
Sources less uses	**$0**	**$0**

Note: the Credit Memorandum's "escrow only" cure ($2,140,000 equity, Loan unchanged) produces $58,840,000 of sources against $56,700,000 of uses — a $2,140,000 surplus (Issue 1). The land appears in the Detailed Budget as funded by **Mezzanine Loan proceeds** (Issue 5).

6.2 Leverage, Coverage and Regulatory Metrics

Metric	Formula	As documented	At $45,360,000
Loan-to-cost	Loan ÷ Total Project Costs	83.7743%	**80.0000%**
LTV, as-completed	Loan ÷ $72,800,000	65.2473%	62.3077%
LTV, as-stabilized	Loan ÷ $76,200,000	62.3360%	59.5276%
DSCR, stabilized I/O at 7.85%	$4,876,800 ÷ interest	1.3079x	1.3696x (interest falls with the balance)
DSCR, stress +200 bps at 9.85%	$4,876,800 ÷ interest	1.0423x	1.0915x
Debt yield (senior)	$4,876,800 ÷ Loan	10.27%	10.75%
Combined debt service coverage	$4,876,800 ÷ (senior + mezzanine)	**0.9310x**	0.9619x
Contributed capital ÷ as-completed value	($8,200,000 + $2,140,000) ÷ $72,800,000	14.2033%	14.2033%
Contributed capital at appraised land value	($8,900,000 + $2,140,000) ÷ $72,800,000	15.1648%	15.1648%
HVCRE threshold	$72,800,000 × 15%	$10,920,000	$10,920,000

Maximum loan at 80% LTC: $56,700,000 × 0.80 = **$45,360,000** (excess $2,140,000). Maximum loan at 65% as-completed LTV: $72,800,000 × 0.65 = **$47,320,000** (excess $180,000). The binding constraint is LTC.

6.3 Interest Reserve — Three Results for One Question

Method	SOFR	All-in	Total interest, 30 months	Result vs $4,850,000
Draw Schedule, month-by-month accrual	3.50%	6.75%	$4,628,675	**Surplus $221,325**
Draw Schedule sensitivity	4.00%	7.25%	$4,975,690	(Shortfall $(125,690))
Draw Schedule sensitivity	4.35%	7.60%	$5,215,830	(Shortfall $(365,830))
Draw Schedule sensitivity	4.75%	8.00%	$5,490,165	(Shortfall $(640,165))
Draw Schedule sensitivity	5.25%	8.50%	$5,832,060	(Shortfall $(982,060))
Our recomputation of the accrual at 4.35%	4.35%	7.60%	**$5,211,545**	**(Shortfall $(361,545))**
Credit Memorandum § 6.2	4.35%	7.60%	$5,415,000	(Shortfall $(565,000))

Implied average outstanding balance from the Draw Schedule accrual: $4,628,675 ÷ (6.75% × 2.5) = **$27,429,185**. The Credit Memorandum's $28,500,000 assumption overstates total interest by approximately $199,500 at the same rate. Recommended reserve at 4.35%: **approximately $5,215,800** (a $365,800 increase over $4,850,000), before any reduction of the Loan Amount under Issue 1.

6.4 Draw Schedule Footings

Draw	Sum of components	Stated total draw	Difference	Cumulative drawn
1	$9,475,000	$9,475,000	$0	$9,475,000
2	$5,212,500	$5,212,500	$0	$14,687,500
3	$6,950,000	$6,950,000	$0	$21,637,500
4	$6,950,000	$6,950,000	$0	$28,587,500
5	$5,212,500	$5,212,500	$0	$33,800,000
6	$3,475,000	$3,475,000	$0	$37,275,000
7	$3,475,000	$3,475,000	$0	$40,750,000
8	$3,475,000	$3,475,000	$0	$44,225,000
9	**$4,275,000**	**$3,275,000**	**$1,000,000**	$47,500,000
Total	**$48,500,000**	**$47,500,000**	**$1,000,000**	—

Component columns as delivered: hard costs (net of retainage) $34,750,000; soft costs $4,150,000; interest reserve $4,850,000; origination fee $475,000; developer fee $2,835,000; contingency $1,440,000 — total **$48,500,000**. The $1,000,000 excess equals the mezzanine-funded portion of the developer fee (Detailed Budget line 5.01). The Detailed Budget's "Net Disbursable" column foots to **$45,025,000** against a stated grand total of **$45,750,000** (a $725,000 overstatement).

6.5 Stabilized Net Operating Income — As Reported and As Adjusted

Line item	As reported (Appraisal § 7)	Adjustment (Issue 29)	Adjustment (Issue 24)	Both
Gross potential income	$6,462,000	$6,462,000	$6,084,840	$6,084,840

Line item	As reported (Appraisal § 7)	Adjustment (Issue 29)	Adjustment (Issue 24)	Both
Vacancy and credit loss (5%)	($323,100)	($323,100)	($304,242)	($304,242)
Effective gross income	$6,138,900	$6,138,900	$5,780,598	$5,780,598
Operating expenses	($1,262,100)	($1,296,600)	($1,262,100)	($1,296,600)
Net operating income	**$4,876,800**	**$4,842,300**	**$4,518,498**	**$4,483,998**
DSCR at $3,728,750	1.3079x	1.2986x	1.2118x	1.2025x
As-stabilized value at 6.40%	$76,200,000	$75,660,900	$70,601,500	$70,062,500
LTV at $47,500,000	62.34%	62.78%	67.28%	67.80%

Change: Issue 29 adds the $34,500 annual Brightleaf Historic District Association assessment ($0.12 × 287,500 sf). Issue 24 removes the revenue attributable to 14 units at the $2,245 effective rent ($377,160 gross; $358,302 after 5% vacancy). Note that the Credit Memorandum's own sensitivity (14 units lost) produces NOI of $4,499,640 and DSCR of 1.2067x, because it applies the vacancy allowance only once; the table above applies it consistently. Either way, **if the residential restriction cannot be resolved, the DSCR falls below the 1.25x covenant and the as-stabilized LTV exceeds the 65% maximum** — so Issue 24 is not merely an environmental issue but a covenant and leverage issue.

6.6 Land, Area and Frontage

Item	Appraisal	Title Commitment	Phase I ESA	Verified from legal descriptions
Parcel 0821-04-72-3341	—	2.09 ac	1.89 ac	298.62 ft × 305.41 ft = 91,201.5 sf = **2.094 ac**
Parcel 0821-04-72-4102	—	1.38 ac	1.58 ac	201.88 ft × 297.63 ft = 60,085.5 sf = **1.379 ac**
Combined	3.47 ac	3.47 ac	3.47 ac	151,287 sf = **3.473 ac** (151,153 sf per Appraisal)
Foster Street frontage	420 ft	—	—	298.62 + 201.88 = **500.50 ft**
As-is land value	$8,900,000	—	—	3.47 ac × $2,565,000/ac = $8,900,550 → **$8,900,000**

The parcel split and the frontage figure in the Appraisal cannot be derived from the legal descriptions; the combined acreage can (Issue 18). The legal descriptions do not close as written (Issue 17).

6.7 Guaranty and Coverage Percentages

Metric	Computation	Result
Partial repayment guaranty, Term Sheet reading	25% × $47,500,000	**$11,875,000 aggregate**
Partial repayment guaranty, Credit Memorandum reading	$11,875,000 × 2 Guarantors	**$23,750,000 aggregate**
Ms. Vasquez-Torres exposure ÷ net worth	$11,875,000 ÷ $29,800,000	39.85%

Metric	Computation	Result
Mr. Osei exposure ÷ net worth	$11,875,000 ÷ $11,500,000	103.26%
Combined guarantor net worth	$29,800,000 + $11,500,000	**$41,300,000**
Combined guarantor liquidity	$6,100,000 + $3,200,000	**$9,300,000**
Liquidity coverage of the $5,000,000 covenant	$9,300,000 ÷ $5,000,000	1.86x
Liquidity cushion	$9,300,000 − $5,000,000	$4,300,000
Borrower net worth, asserted	—	$14,200,000
Borrower net worth, implied by the record	$8,200,000 land − $3,400,000 deed of trust	**≈$4,800,000**
Borrower net worth, implied at appraised land value	$8,900,000 − $3,400,000	**≈$5,500,000**

6.8 Fees and Costs Not in the Approved Project Budget

Item	Computation	Amount
Payoff of Prior Deed of Trust	Original principal; current balance to be confirmed	Up to $3,400,000
Unused line fee, 30 months	$20,070,815 average undrawn × 0.25% × 2.5	≈$125,400
Exit Fee if repaid during construction	0.50% × $47,500,000	$237,500
Exit Fee if repaid in first 6 months of mini-perm	0.25% × $47,500,000	$118,750
Extension Fee	0.25% × $47,500,000	$118,750
Interest Rate Cap premium	Not quantified in the record	*Not quantified*
Mezzanine interest, PIK 30 months	$9,200,000 × 12.50% × 2.5	$2,875,000
Mezzanine cash interest, 12 months	$12,075,000 × 12.50%	$1,509,375
Brightleaf HDAA assessment (annual)	$0.12 × 287,500 sf	$34,500
Total identifiable, excluding the payoff and the cap	Certain items are alternative or contingent	**≈$5,019,000**

An alternate check on the LTC covenant: if the payoff and the unused line fee were added to Total Project Costs, they would total **$60,225,400**, and LTC would be 78.87% — compliant, but requiring $3,525,400 of additional funding, which returns to the equity problem in Issue 5.

7. Drafting Notes, Placeholders and Decisions Required

7.1 Placeholders. The Draft contains bracketed terms intended to be completed before circulation. They are:

Placeholder	Location	Subject
Effective Date / Closing Date	Cover, § 2.1, signature pages	To be fixed. Note Issue 28 and the Phase I shelf life (§ 6.16)
Novation / loan amount	§ 2.1, § 8.1, §§ 2.9(a), 2.9(c)	Pending decision on Issue 1 and Issue 3
Guarantor net worth threshold	§ 8.7	Pending decision on Issue 32
Debt Yield threshold (8.50%)	§ 8.4	Proposed; confirm with credit
Change Order threshold ($100,000)	§ 4.9(b)	Confirm
Casualty/condemnation threshold ($250,000)	§ 11.4	Confirm
Occupancy and DSCR thresholds for Distributions	§ 7.5(c)	Proposed; confirm
Extension Option conditions and 1.15x/1.25x DSCR	§ 2.13, Exhibit G	Pending decision on Issue 36
Punch-list threshold ($50,000)	§ 4.3(f)	Confirm
Trade payable and equipment lease thresholds	§ 7.1	Confirm
Insurance limits and ACORD forms	Article XI	Confirm
Interest Rate Cap counterparty and strike	§ 2.14, Exhibit G(f)	To be determined at the time
Borrower’s fiscal year end	Exhibit F	Not in the record (Borrower formed March 14, 2019)
Guarantor decline threshold (35%)	§ 14.1(q)	Proposed; confirm
Legal description	Exhibit A	Survey required (Issue 17)
Environmental Restricted Area metes and bounds	Exhibit E Part 1	Deed notice and survey required (Issues 23, 18)
Recording data for the deed notice as a Permitted Exception	Exhibit H ¶ 6	Issue 23
“Other Amounts” column in Exhibit C	Exhibit C	Rebuilt schedule subject to Issue 1 adjustment

7.2 Decisions we have taken in the Draft that the Bank may wish to revisit. These are instances where the record supported two readings and we chose one; each is flagged in the Draft.

1. **Partial repayment guaranty = $11,875,000 aggregate** (Term Sheet reading), not $11,875,000 per guarantor (Issue 33). This is a commercial term; we have drafted the Term Sheet reading and flagged it, but the Bank should confirm before circulation.
2. **Carry Guaranty extends through the Mini-Perm Period** (Term Sheet reading), not construction-only (Issue 34).
3. **Loan-to-value covenant at 65%** (Term Sheet), not 70% (Credit Memorandum) (Issue 2).

4. **Completion Guaranty 30-day tolerance** after the Construction Maturity Date (Issue 28), which departs from Term Sheet § 7.1.
5. **Retainage release at $3,475,000** (10%), not $3,275,000 (Issue 13).
6. **Draw Schedule rebuilt** (Exhibit C) rather than reproduced (Issue 11).
7. **Debt Yield covenant added at 8.50%** (§ 8.4) — not in the Term Sheet; new for the Bank to approve.
8. **Environmental use restriction added as a Permitted Exception** (Exhibit H ¶ 6) — not in the Term Sheet (Issue 21).
9. **Builder's risk at full insurable value**, not $34,750,000 (Issue 22).
10. **Report schedule at the more demanding of the two sources** (Issue 35).

7.3 Provisions deliberately included that the Term Sheet does not require (each is protective of the Bank and each is likely to draw comment from Borrower's counsel): the Interest Reserve Adequacy Test at each draw (§ 4.5(d)); the Debt Yield covenant (§ 8.4); the prohibition on Distributions other than as permitted (§ 7.5); the prohibition on reimbursement of member advances (§ 7.5(d)); the equity-first condition excluding Draw 1 (§ 4.2(i)); the 100% member consent (§ 3.1(d)); the Independent Manager appointment evidence (§ 3.1(e)); the Pollution Legal Liability insurance recommendation (§ 10.5); the Interest Rate Cap at the commencement of the mini-perm (§ 2.14); the Subordination of the Developer Fee concept (§ 6.11); the contractor financial statements and bonding condition (§ 3.1(n)); and the expense-verification condition (§ 3.1(u)).

8. Open Items and Closing Checklist

Target Closing Date remains **February 28, 2025**, subject to the Phase I ESA shelf life (April 26, 2025). Given the volume of open items below, we recommend the Bank consider a short extension of the target date rather than compressing diligence.

#	Item	Responsible	Target	Blocking?
1	Senior Loan Committee action confirming the reduced Loan Amount and the LTC/LTV cure methodology (Issues 1–3)	Bank / Forsythe	Feb. 10, 2025	**Yes**
2	Revised Term Sheet or written confirmation of the reduced Loan Amount	Bank / Borrower	Feb. 12, 2025	**Yes**
3	Schedule of all member capital contributions and advances, with bank statement support (Issue 5)	Borrower / Calloway & Strauss	Feb. 12, 2025	**Yes**
4	Source-of-funds certification and documentation for the $2,140,000 equity escrow (Issue 5)	Borrower	Feb. 14, 2025	**Yes**
5	Restated sources and uses reflecting the reduced Loan and the equity (Issues 1, 8)	Borrower	Feb. 14, 2025	**Yes**
6	Recorded Deed Notice, or NCDEQ written confirmation (Issue 23)	Borrower / Sentinel	Feb. 14, 2025	**Yes**
7	Executed Intercreditor Agreement (Issue 39)	Bank counsel / Mezzanine Lender	Feb. 21, 2025	**Yes** (non-waivable)

#	Item	Responsible	Target	Blocking?
8	Amended and restated operating agreement with SPE covenants and Independent Manager (Issue 38)	Borrower	Feb. 14, 2025	**Yes**
9	100% member consent (Issue 37)	Borrower	Feb. 14, 2025	**Yes**
10	Non-consolidation opinion (Issue 38)	Calloway & Strauss	Feb. 24, 2025	**Yes**
11	Architect’s certified overlay of the restricted area; NCDEQ position or redesign (Issue 24)	Meridian Design Collective / Borrower	Feb. 17, 2025	**Yes**, or condition to advances
12	ARC approval or deemed-approval evidence (Issue 20)	Borrower	Feb. 17, 2025	**Yes**
13	ALTA/NSPS survey; corrected legal descriptions (Issues 17, 18)	Borrower / surveyor	Feb. 14, 2025	**Yes**
14	Payoff letter and release of the Prior Deed of Trust (Issue 8)	Borrower / Title Company	Feb. 21, 2025	**Yes**
15	Rebuilt draw schedule and corrected Detailed Budget (Issues 11, 12, 13)	Borrower	Feb. 12, 2025	**Yes** (exhibit)
16	Interest reserve re-sized at 4.35% or the then-current rate (Issue 9)	Bank / Borrower	Feb. 12, 2025	No, but Budget amendment
17	Phase II ESA, NFA letter and Phase II reliance letter (Issue 27)	Sentinel / Borrower	Feb. 14, 2025	**Yes**
18	NCDEQ-approved soil management plan and vapor mitigation design (Issue 25)	Borrower / engineer	Feb. 21, 2025	**Yes**
19	Borrower financial statements reconciling the $14,200,000 net worth (Issue 31)	Borrower	Feb. 12, 2025	**Yes**
20	Guarantor net worth covenant decision (Issue 32)	Bank	Feb. 10, 2025	No
21	Partial repayment guaranty quantum decision (Issue 33)	Bank	Feb. 10, 2025	No, but before circulation
22	Extension Option conditions decision (Issue 36)	Bank	Feb. 12, 2025	No
23	Appraisal supplement on the CC&R assessment (Issue 29)	Ridgeline Appraisal	Feb. 17, 2025	No
24	Contractor financial statements and bonding evidence (Issue 41)	Graystone / Borrower	Feb. 17, 2025	**Yes**
25	GMP contract, architect’s agreement and contractor consent to assignment (Issue 41)	Borrower	Feb. 17, 2025	**Yes**
26	Current flood hazard determination (Issue 16)	Bank	Feb. 14, 2025	**Yes** (regulatory)
27	Title: commitment extension if needed; underwriter confirmation; Insured Closing Letter; verified wire instructions (Issue 19)	Title Company / Bank	Feb. 21, 2025	Yes
28	Insurance certificates, including full-value builder’s risk (Issue 22)	Borrower / broker	Feb. 21, 2025	**Yes**
29	Legal opinions; certificates of good standing; member resolutions	Calloway & Strauss	Feb. 24, 2025	**Yes**
30	Confirmation on North Carolina law points (Issue 40)	Drummond	Feb. 12, 2025	No, but before Guaranties
31	Signed and dated Organizational Chart certification (Issue 43)	Borrower	Feb. 12, 2025	No

#	Item	Responsible	Target	Blocking?
32	Full appraisal and internal appraisal review memorandum (Issue 44)	Bank	Feb. 12, 2025	No

8.1 Recommended sequencing. Items 1 through 5 determine the size and structure of the Loan and therefore the content of the financial covenants, the Draw Schedule and the Interest Reserve. We recommend that no further drafting be circulated to Borrower's counsel until the Bank has taken the Committee action in item 1; otherwise the Draft circulated will contain an LTC covenant that the Loan breaches on its face, which is an unnecessary invitation to argument. Items 6, 11 and 12 (environmental and ARC) are the most likely causes of delay; each involves a third party (NCDEQ, the Architectural Review Committee) whose timetable the Bank does not control. If those three cannot be resolved by February 14, we recommend moving the target Closing Date rather than waiving them.

9. Validation, Limitations and Next Steps

9.1 Verification performed on the Draft. The Draft has been (a) generated and round-trip validated as a conforming .docx (ZIP integrity, XML well-formedness, ECMA-376 schema, content-type registration and relationship consistency); (b) rendered to PDF (71 pages) and reviewed page by page for layout, table fitting, orphaned headings and broken cross-references; (c) checked so that every internal section cross-reference and every "Cover Memorandum, Issue" cross-reference resolves to an existing provision or issue; (d) checked for arithmetic so that each figure in the Draft (loan amount, ratios, reserve balances, retainage, draw totals, fee amounts) matches the reconciliation in Section 6; and (e) reviewed to confirm that each of the six "critical" conditions identified in the Credit Memorandum (equity escrow, intercreditor, SPE and non-consolidation, interest reserve replenishment, environmental resolution, title clearance) has a corresponding operative provision in the Draft and not merely a recital.

9.2 Limitations. We have not verified any fact asserted by Borrower, the Guarantors, the appraiser, the environmental consultant, the title company or the General Contractor, except where we have re-performed a computation and said so. The record furnished to us omits the documents listed in Issue 44; conclusions drawn from excerpts (the Phase I ESA, the Appraisal, the Organizational Chart) may change when the complete documents are reviewed. Nothing in this memorandum is a substitute for the Bank's credit judgment, and our comments on credit metrics identify internal inconsistency only.

9.3 Next steps.

1. **Bank decision required on six points** before the Draft is circulated: the reduced Loan Amount (Issue 1); the equity escrow and its source verification (Issue 5); the partial repayment guaranty quantum (Issue 33); the Guarantor net worth covenant (Issue 32); the Extension Option conditions (Issue 36); and the Debt Yield covenant (Issue 30). We recommend a short conference with Mr. Forsythe this week.

2. **Borrower requests** to issue on the same day as the Committee decision: the source-of-funds schedule and bank support; the recorded deed notice or NCDEQ confirmation; the architect's overlay; the ARC evidence; the survey; the rebuilt draw schedule; the full Phase II and NFA letter; the contractor's financials and bonding; and Borrower's reconciled financial statements.
3. **Third-party requests:** Ridgeline Appraisal (CC&R assessment supplement and a statement on the residential restriction); Sentinel (Phase II report, reliance letter and an overlay review); Aldersgate (underwriter identification, Insured Closing Letter, corrected legal descriptions and the pre-recording lien affidavit).
4. **Circulation.** Once items 1 and 2 are complete, we will circulate the Draft with a clean cover letter to Jonathan Ngo at Calloway & Strauss, without the drafting notes or this memorandum.

Prepared by Marcus Webb. Reviewed comments and instructions requested from Katharine Drummond.